

*R*EWARDING YOUR TRUST *in everything we do*



Insurance
INSURANCE FOR THE LIVING

ANNUAL REPORT 2016



*R*EWARDING YOUR TRUST *in everything we do*

“The key is to set realistic customer expectations, and then not to just meet them, but to exceed them-preferably in unexpected and helpful ways.”

-Richard Branson

This financial year at Arpico Insurance PLC, we have worked towards enhancing the value of our products along with the convenience and quality of our service. With the successful implementation of innovation and technology, Arpico Insurance has risen beyond expectations in providing expert services, ensuring further growth of the company.

And with every milestone achieved in working towards a stronger and brighter future, we strive to bring value to our esteemed customers, employees, and respected shareholders, working tirelessly to reward their trust in us. For it is their great trust that has helped Arpico Insurance PLC to become one of the emerging and strong life insurance providers in the industry.



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HIGHLIGHTS OF THE YEAR

55%

GWP

328%

PROFIT

28%

NOP

67%

LIFE FUND

37%

TOTAL ASSETS

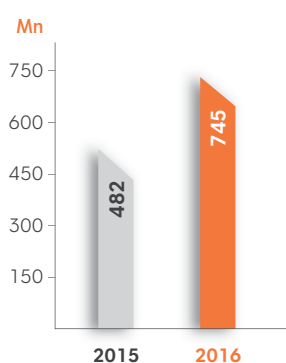
27%

INVESTMENT PORTFOLIO

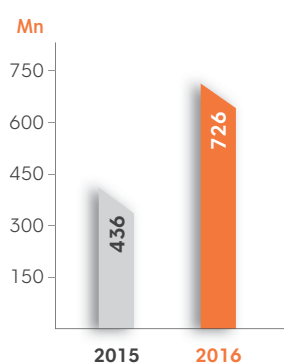
YEAR 2016 WAS AN EXCEPTIONAL
YEAR FOR US, WITH THE COMPANY
RECORDING A PROFIT OF RS. 107 MILLION
WHICH IS A 328% GROWTH OVER THE LAST YEAR.

	2016 Rs. Mn.	2015 Rs. Mn.	Growth %
GWP	745	482	55%
Life Fund	726	436	67%
Profit / (Loss)	107	25	328%
Total Assets	1,587	1160	37%
Investment Portfolio	1,245	982	27%
Number of Policies	11,478	8,958	28%

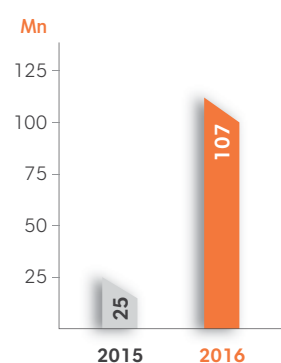
GWP



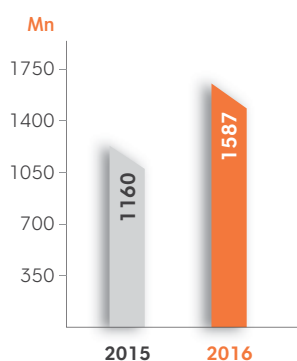
LIFE FUND



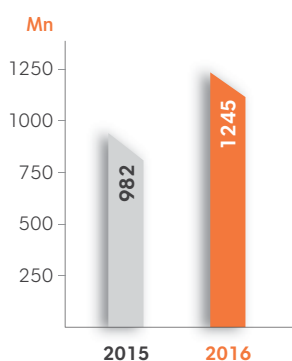
PROFIT / (LOSS)



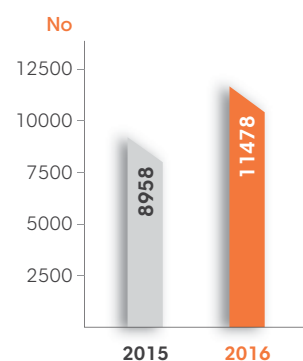
TOTAL ASSETS



INVESTMENT PORTFOLIO



NUMBER OF POLICIES





Vision

To be the most trusted and innovative solutions provider for life insurance needs

Mission

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability

Values Of The Company

To serve customers with care, compassion and respect

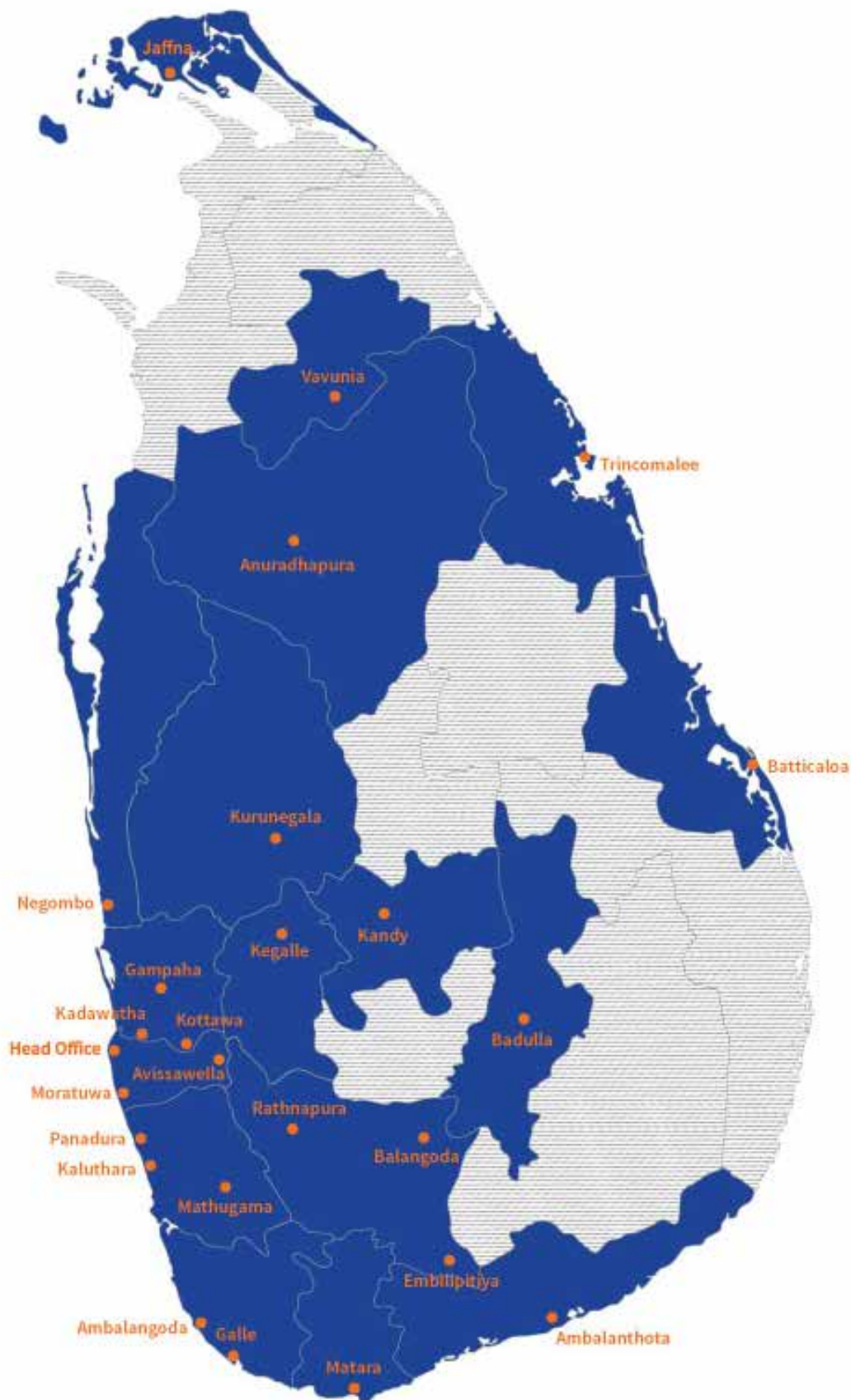
To do the right thing for the right reason

Always think to lead in new ways and introduce result oriented solutions to customers

Always nurture and value team spirit along with satisfaction

Ensure maintenance of high ethical standard in all professional aspects and practices of the Company

BRANCH NETWORK



KEY MILESTONES

2011
June

Incorporated as Public Limited Company under the name
“Arpico Insurance Limited”

IBSL granted the license to Arpico Insurance to act as a
Life Insurer primarily conducting Life Insurance
business in Sri Lanka

2011
Oct

2012
Jan

Launching of Arpico Insurance and Commencement
of its Operations at the Hyde Park Corner Office

Reached LKR 100 Million GWP in the first year of
commercial operations

2012

2013
July

Head office shifted to new premises at
Vauxhall Lane to facilitate growth

First Life Insurance Company to record a profit in its
third year of operation.
Initial Public offering of Arpico Insurance shares to public

2014
Dec

2015

Started trading on CSE (Dirisavi board)
Increasing the geographical presence to 24 branches

Achieved a profit of LKR 107 Mn for the
financial year 2016

2016



It is a great privilege, to address you, at yet another Annual General Meeting of Arpico Insurance and I take pride in presenting our Annual Report along with Audited Financial Statements for the financial year ended 31st December 2016. I am pleased to report the company's positive performance in the year under review, which has come amidst a very sluggish economic environment and a fiercely competitive insurance sector. The company has recorded a Gross Written Premium of Rs. 745 million and had earned a net profit of Rs. 107 million out of its business operations for 2016.

Besides its financial performance, the Company was able this year, to write exciting and noteworthy new chapters in its history of growth and development. This progress and strong position has placed us among some of the best performers in the insurance arena.

Global Economy and Industry Performance

My review in the past annual report presented to you, reiterates the mindful and observant manner in which the Board of Directors operates in the business environment. It is proven that the economic development of an individual country

“Our customer base now stand at around 31,529 which we consider an achievement, considering ourselves as toddlers in this domain.**”**

ACTING CHAIRMAN'S MESSAGE

“**Besides its financial** performance, **the Company** *was able this year, to write exciting and noteworthy* **new chapters in its history** of growth and development. **This progress and strong position** *has placed us among some of the* **best performers in the insurance arena.**”

cannot be attained in isolation. It is distinctly associated with the rest of the economies of the world and has a direct impact on local industries, including the long term and general insurance sector. The current shift in political power in the US, coupled with drastic policy changes from the US administration impacts the Asian economy, especially China and this can be expected to have an impact on the local economy. The constant volatility within leading global economies affects consumer trends amidst currency rate shifts.

This is shadowed further by the expanding current account deficit of the country as well as the rise in interest rates. Despite the sluggish economic growth rate in 2015 (3.1%), the local insurance industry has sustained a satisfactory growth of 17.01% in the first half of 2016, in terms of Gross Written Premium (GWP). This rate of growth is higher than that of

Our company is built on values which are its pillars of strength and the force behind its success. As a growing Insurer, we believe that it is important to be unequivocally ethical and authentic in all our actions.

ACTING CHAIRMAN'S MESSAGE Contd.

2015 which was at 11.73%. Regardless of the negative factors, the industry seems optimistic as economic development is expected to drive levels of disposable income of customers contributing to an increase in the demand for life insurance solutions.

Economic Performance

Considering global trends, it is heartening to note that the domestic markets in many developing countries are growing fast. This is a direct result of the increase in the middle-income class's purchasing power, where more people are investing in homes, cars, and other luxuries, which were beyond their grasp a few years ago. In turn, more businesses are being established to provide these goods and services to meet these demands. The performance of the domestic economy and its prospects in the immediate future will have to be evaluated in the global context, elaborated in the foregoing account and also in the circumstances of the changed political and policy environment in guiding and directing our economy.

The Annual Report of the Central Bank of Sri Lanka for the year 2016 indicates that Gross Domestic Product (GDP) is estimated to have grown at a moderate rate of under 5% in 2016, as opposed to 4.8% the previous year. The growth in the first three quarters showed a decline to 4% from 5.6% a year ago. One of the main reasons contributing to this drop was the decline witnessed in the agricultural sector due to the adverse weather conditions. Gross official reserves were increased during the year and stood at USD 6.5 billion by end-September which was possible due to proceeds from the ISB (International Sovereign Bond) and syndicated loans. In terms of exchange rate, the Rupee was relatively stable during the year, in comparison to previous years. Several other measures were implemented in order to augment government revenue; the increase of Government Tax to 15% was one such implementation.

The Government placed high importance on attracting FDIs through public private partnerships, and a number of expansionary projects of the private sector were initiated in 2016. Despite multiple measures introduced in the fiscal arena throughout 2016, the country entered 2017 with a high debt burden, which impedes all development efforts of the Government. Further, the looming drought conditions in most parts of the country are likely to continue to impact adversely on the agriculture sector, thereby posing a threat to GDP growth in 2017.

Sector Review

The life insurance industry in Sri Lanka has shown a growth of 19% in 2016 (as against a 20% growth in 2015). The significant growth in premiums is attributable to increased awareness and demand for health and retirement solutions. As per the latest figures published by the Insurance Board of Sri Lanka (IBSL), the life insurance industry has recorded a CAGR of 11% over the past five years up to 2015. This growth momentum is expected to continue as life insurance penetration in Sri Lanka is significantly lower compared to regional markets. For example, as per statistics published by the IBSL, only 33% of the working population have some form of insurance. This shows the potential for growth within the life insurance sector. Innovation will play a key role in driving market growth in this segment. Another notable change in the sector is that customers are becoming more tech-savvy and therefore seek tech-driven Insurance solutions that enable greater levels of convenience. Therefore, insurance companies should make investments in internet, mobile platforms and advancing technologies in order to constantly evolve within the ever-changing market space.

Governance and Sustainability

At Arpico Insurance, we stay focused and committed to practicing high Corporate Governance standards which contribute towards the sustainability of the Company; facilitating long-term shareholder value creation, and enhancing the benefits that other stakeholders derive from the Company's continuing success. We take great measures to ensure that the principles and values of the Company based on 'fairness' are inculcated amongst employees across the board. The Company Code of Conduct which spells out the need for the highest standards of integrity is one of the key formal means towards this end.

Our company is built on values which are its pillars of strength and the force behind its success. As a growing Insurer, we believe that it is important to be unequivocally ethical and authentic in all our actions. We believe in giving back to our society and as a respected Insurer we do so in many ways. We are dedicated to building community engagement through various product initiatives and associations. Our Board of Directors carefully monitor the Management to ensure that the Company achieves its objectives. The Corporate Governance framework underpins the Board's accountability to the Company and its other stakeholders.

Our Employees

Our people drive our success. With this in mind, we have made good progress in fostering a dynamic work culture that encourages our employees to rise to their true potential and one that attracts industry-best talent. Our team, including the sales force, maintain very high productivity levels that have positioned the Company to recruit, develop and retain a diverse and talented workforce with ease. Our team enjoys above industry income and progressive careers, and their exceptional contributions are acknowledged and richly rewarded. We at Arpico Insurance believe that training is a pivotal tool in our industry segment, and being ahead of the pack is the key in increasing our bottom lines; therefore, we continue to enhance our employees knowledge through training and development of global standards.

Our Customers

We consider our customers as our motivation, hence, we continuously strive to enhance and raise the bar when providing them with quality service and offerings. In order to facilitate this we have a team which works tirelessly, gathering customer trends and encompassing them into the framework in order to provide the customer with a better service offering.

In the year under review, we implemented technological advancements which have provided the customer with ease and convenience. Our customer base now stands at around 31,529 which we consider an achievement, considering ourselves as toddlers in this domain. However, I must reiterate at this point that our parent, Richard Pieris and Co. (Arpico Group) has indeed made a name for itself, dotting the Sri Lankan domestic market for over eight decades. It has become a household name of strength and reliability, which has in turn helped us in our venture to grow and prosper, while providing our customer with a sense of security.

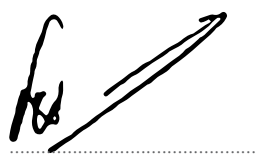
The Future

Our goals and ambitions as a company have been clearly set out. It is to become a prominent player in the Life Insurance industry. In our progress to date, we see that this goal is indeed achievable. Our stakeholders have placed their trust in us and we are geared to take up this challenge head on. As we strive towards this goal our recruitment drive in employing industry experts will work parallel to it. We understand that in order to serve our customers better and create a niche for ourselves our sales force should be aggressive. Regular training and development exercises too are on the cards. Further, in a drive to facilitate and motivate our team, we will be implementing motivational targets which commenced this year and is planned to be taken forward.

This has indeed created a positive vibe among the staff. Further we will continue to concentrate on strengthening our branch network which will enable us to reach to a more diverse geographical area to service our valuable customers more efficiently. The private sector will inevitably be the engine of growth for our country. Along with this, Sri Lanka's economic future is moving towards becoming a servicing hub; a niche manufacturing destination to produce goods which fit into regional and global value chains. With the trend moving towards a service culture, customer demands will also increase. Therefore, as an organisation, we are on a journey to continuously improve our standards in order to challenge the status quo and the changing environment.

Conclusion

The visionary leadership and guidance of our Group Chairman, Dr. Sena Yaddhige has driven us to take bigger and bolder actions, in a short period of time. We convey our heartfelt gratitude to him for being a pillar of strength and for enabling our progress. I also extend my heartfelt appreciation to our employees, for their hard work and relentless co-operation in expanding our presence and portfolio. Our Board of Directors have been instrumental in our success. They have helped steer the Company in the right directions and has constantly championed our endeavours with strong support. Finally, to each and every one of our shareholders whose faith in us has only grown stronger, they have been a source of strength, right from the inception.

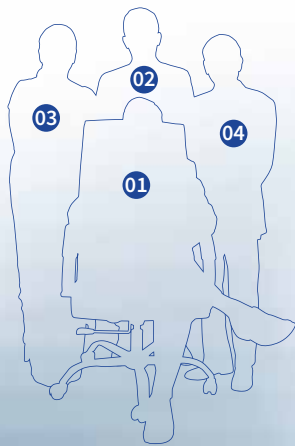


Mr. Viville Perera
Acting Chairman

13 March 2017

BOARD OF **DIRECTORS**





01 Mr. Viville Perera
Acting Chairman

02 Mr. Shiron Gooneratne
Non-Executive Director

03 Mrs. Lasinee Serasinhe
Independent Non-Executive Director

04 Mr. Sirikananathan
Independent Non-Executive Director

Mr. Viville Perera

Acting Chairman

Mr. Viville Perera is a science graduate from the University of Kelaniya with second class honours and a Fellow Member of The Chartered Institute of Management Accountants and an Associate Member of the Chartered Institute of Marketing, UK. Mr. Perera has over 33 years of experience in the senior managerial capacity at leading business organisations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group), Amico Group of Companies and Alliance Finance Co. PLC. He has served at the Sri Lanka Institute of Packaging as Treasurer from 1992 to 1997 and as Vice President from 1999 to 2002. Mr. Perera has been representing the company on the Executive Committee of the Industrial Association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce since 2011. He is also on the Board of Directors of Several Companies of Richard Pieris Group.

Mr. Shiron Gooneratne

Non-Executive Director

Mr. Shiron Gooneratne is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from the University of Leicester, UK. He has held senior finance positions both locally and overseas, including the positions of Finance Director / Chief Financial Officer of leading Multinational and Blue Chip Companies.

Mr. Sirikananathan

Independent Non-Executive Director

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasiri & Company. He also served on the Boards of Associated News Papers of Ceylon Ltd (ANCL) as Director/Financial Consultant and Bartleet Finance PLC, as Independent Non-Executive Director, Audit Committee Chairman and Remuneration Committee Member.

Mr. Sirikananathan possesses over 40 years of audit experience with KPMG and has engaged in audits of star class hotels, conglomerates, development organisations, multinational banks, finance companies, insurance companies and several listed companies.

Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and is also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya and has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.

Mrs. Lasinee Serasinhe

Independent Non-Executive Director

Mrs. Serasinghe is a Fellow of The Chartered Institute of Management Accountants (UK), Fellow of the Chartered Global Management Accountants and a diploma holder in Computer Programming. Mrs. Serasinghe has garnered over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Board of Sri Lanka (IBSL). She took up duties as the Director General of IBSL during a time when IBSL had set up its office independently, and worked at the IBSL until her retirement.

Whilst being the Director General of IBSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an ex-officio member. Subsequently, she served the Ministry of Finance in the capacity of an advisor for a short period of time. Prior to taking up the post of Director General, IBSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinghe has several years of experience in the field of Finance in the Private Sector prior to her entry into the regulatory arena. She currently functions as a consultant to the private sector and is attached to SSP Corporate Services (Pvt.) Ltd.

CORPORATE MANAGEMENT



Mr. E C Perera
Specified Officer



Mr. W N C P Nishan
Deputy General Manager Sales



Mr. H E T Sampath
Deputy General Manager Sales



Mr. M A Doolwala
Financial Controller



Mr. Tharaka Perera
Assistant General Manager Technical
/ Principal Officer



Mr. Milinda Peiris
Training Manager



Mr. Kaushal Fernando
Manager - Life

Mr. E C Perera

Specified Officer

Mr. Perera counts over 34 years of experience in the field of Insurance. He is an Associate Member of the Chartered Institute of Insurance (UK) and a Chartered Insurer.

Mr. W N C P Nishan

Deputy General Manager - Sales

Mr. Nishan counts over 24 years of experience in the industry. He has completed (AMTC) - LIMRA, LUTC Diploma in Insurance - LIMRA, Management Skills Course - IMS and Diploma in Marketing from Singapore Institute of Marketing.

Mr. H E T Sampath

Deputy General Manager Sales

Mr. Sampath counts over 25 years of experience in the industry. He has completed Agency Management Training Course (AMTC) - LIMRA, Life Underwriter Training Council (LUTC) Diploma in Insurance - LIMRA and Management Skills Course - Institute of Management Studies (IMS).

Mr. M A Doolwala

Financial Controller

Mr. Doolwala counts over 16 years of experience in finance with 12 years committed to the insurance industry. He is an Associate Member of the Chartered Institute of Management Accountants, UK and holds an MBA from Cardiff Metropolitan University UK. He also holds a Diploma in Computer Studies from the National Centre for Computing, UK and has completed the Licentiate Exams from Insurance Institute of India.

Mr. T Perera

Assistant General Manager Technical / Principal Officer

Mr. Perera counts over 19 years of experience in the insurance industry. He is an Associate Member of Chartered Insurance Institute and a Life Fellow Member of Insurance Institute of India. He holds a BSc. in Mathematics and Statistics degree from the University of South Africa and an MBA in Finance from the University of Colombo.

Mr. Milinda Peiris

Training Manager

Mr. T D Milinda Peiris counts over 12 years of experience in Training and Development. He holds a Degree of Bachelor of Arts in Leadership and Management, National Diploma in Philosophy, National Diploma in Theology, Advance Diploma in Human Resource Management and Advance Diploma in Training and Development.

Mr. K Fernando

Manager - Life

Mr. Kaushal Fernando counts over 16 years of experience in Life Underwriting, Claims and holds responsibility for the technical operations of the policy processing. Prior to joining Arpico he served in many capacities at leading Insurance companies.



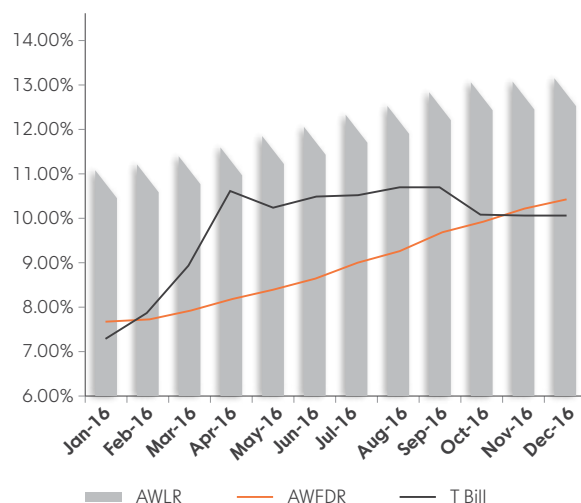
MANAGEMENT **DISCUSSION** **&** **ANALYSIS**

OPERATING ENVIRONMENT

Global Economy

The global economy which began its path towards recovery in October 2012 continues its journey today but at a slower pace than expected. Year 2016 has being a quite turbulent year globally with very notable political and social economic changes effecting the projected global economic growth rate.

Forecasted growth for 2017 onwards has taken into consideration the changing policy mix under a new administration in the United States and its global spill overs. Despite prospects for continued growth in 2016, the legacy of the global financial crisis and uncertainty about the future fuelled by changes in China and the volatility of global financial markets dampen a full global economic recovery.



Source: Central Bank of Sri Lanka

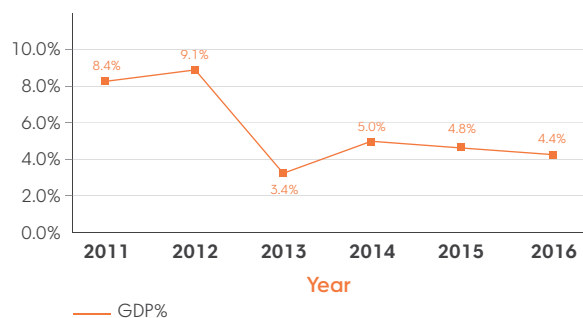
Sri Lankan Economy

Sri Lankan Economy grew by 4% in the first three quarters of 2016, compared to same period last year which is 5.6%. Due to the dry weather conditions prevailed during the first half of 2016 and the heavy rain fall the in hill country the agriculture sector saw a decline of 2.5% whereas the industry and service sector growth stood at 5.7% and 4.8% respectively.

Falling exports caused the exchange rate to depreciate in 2016. The downward spiral of during 2016 saw the rupee depreciated by 3.75% against the U.S Dollar to Rs.151.66. Central Bank adopted a tighter monetary policy during the year. Accordingly in February and July the policy rates were increased by 50 basis points at each occasion. Country saw credit growth during early and middle of 2016 and again a decline towards the later part of the year.

Annual Growth Rates of GDP

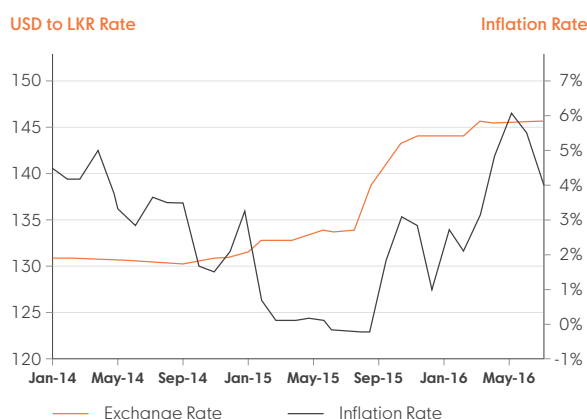
Percentage



Source: Department of Census and Statistics

In June 2016, the International Monetary Fund (IMF) approved a 36-month extended arrangement under the Extended Fund Facility (EFF) for an amount equivalent to USD 1.5 billion to support Sri Lanka economic reform agenda. It is also expected to catalyse an additional USD 650 million in other multilateral and bilateral loans, bringing total support to around USD 2.2 billion. The main efforts are to boost the tax ratio, reduce the budget deficit, rebuild foreign exchange reserves, and improve public financial management, including of state owned enterprises.

Exchange Rate and Inflation Movement



Source: Central Bank of Sri Lanka

Life Insurance Industry Outlook

Global life real premium income is forecast to rise by 4.8% and 4.2% in 2017 and 2018 respectively. In the emerging markets, the growth forecast would be 14.9% in 2017 and 10.9% in 2018. The major driver for the global life sector will be the emerging markets, where stabilising economic growth, growing population, urbanisation and rising middle class underpin the positive outlook for insurers and insurance penetration.

Sri Lankan Life insurance industry saw a commendable growth of 19% in 2016. Total Premiums recorded was Rs 63.5 Billion whereas it was Rs 53.5 Billion in 2015.

Our Reach

The Company further strengthened its branch network, by venturing into the northern terrain of the country. This has indeed opened up a gamut of business opportunities and further established our presence in reaching out to the people of Sri Lanka, while enhancing customer convenience.

Our Products

The Company has been able to cater its customers with a product portfolio that are geared to meet and fulfil many life insurance needs prevailing in the market. Through our product portfolio we offer insurance products such as Arpico Term Insurance Plan, Arpico Endowment Plan, Arpico Investment Plan, Arpico Relief Plan, Arpico School Fees Plan and Arpico Group Assurance Plan where most of the plans could be customized to satisfy carrying needs of the customers.

Through the concept of “Insurance for the Living” the Company offers a variety of life insurance benefits that could be enjoyed during a person’s life rather than at death. Also, selected products extend opportunities for the policy holder’s entire family as well. Thereby the Company has been able to change the attitude towards insurance and clearly differentiate the products in contrast to the traditional insurance services that are offered in the market.

Financial Analysis

Arpico Insurance has continued its healthy performance streak in 2016, increasing its GWP by 55% recording a total of Rs. 745 million as opposed to 482 Million of 2015. The First Year Premium for the year was Rs. 516 million which was another incremental growth of 48%. The Renewal Premium also grew by 72% to reach Rs. 229 million placing the Company squarely on a progressive path. The Company’s increasing sales force and branch expansion drive are once again the major contributing factors to the acquisition cost. As a result the Net Acquisition Cost reached Rs. 78 million and comprises 11% of

the Net Written Premium. However as a new entrant among veterans in the industry, Arpico Insurance has made its mark, recording a healthy revenue that are continually bolstered by its GWP. While GWP showed a 55% percent growth in the year under review, profit before tax was recorded at Rs. 107 million as at December 2016.

The Total Assets of the Company have steadily grown throughout the years, placing the Company in good financial stead with a healthy net value. In the year under review the Total Asset Base grew by 37% from Rs. 1,160 million in the year 2015 to record Rs. 1,587 million as at December 2016. It must be noted that the 27% growth in the Company’s investment portfolio at Rs. 1,245 million in the year under review, made a positive impact on the asset base and on the overall financial health of the Company. As per the regulations issued by IBSL, Arpico Insurance has maintained a secure Solvency Margin in the interest of all the policy holders. Accordingly, in the year under review, the Company generated a solvency margin of 584%.

Life Fund in line with the Company’s growth trend also maintained an upward trajectory, a trait that reflects well on the financial integrity of the Company. With a 67% growth to reach Rs. 726 million as at December 2016. This indicates that the company is well-positioned to fulfil its obligations to all its policyholders.

Our People

Arpico Insurance has always been an organization that has fostered a very conducive culture since the very beginning. We consider our people our best asset. Without their commitment and steadfast trust in the organization, we could not have made the journey in breaking barriers within this short time. Sustainable, profitable growth can only be achieved in an organization where there is a dedicated focus on a performance culture and where employee engagement and empowerment is consistently driven to achieve success.

Today, the company consists of diverse teams across all departments. We have further made steady progress in improving gender balance across all functions. This has been achieved in a systematic manner through senior leadership commitment and ethical hiring practices. We would also like to add that there have been no reported incidents of discrimination which occurred during the year under review. Arpico Insurance employee base comprises a diversified group of employees.

OPERATING ENVIRONMENT Contd.

The company has a well-balanced mix of senior, experienced employees as well as a young, up and coming tier of employees being groomed for the future. Since a company is reflective of its employees' capacities and achievements, we ensure that total support to this effect, the company focuses on conducting team building activities annually to empower its employees and inculcate a culture where a stronger connect and bond are created between individuals and cross functional teams.

We focus on promoting a performance-based culture, ensuring that employees are recognized and rewarded for the contribution made to the company. In this manner, employee performance is gauged every year and the merits are attributed.

As a result, employees are empowered to sustain their performance throughout their careers, ensuring that there is a mutual benefit for both the organisation and the employee.

Governance Framework

At Arpico Insurance, we believe that corporate governance is a cornerstone of our operations. Risk management is part and parcel of corporate governance. The Board is responsible and provides oversight, and define risk appetite and annually evaluates the implementation of our risk policy and risk management plan. The Board has delegated the responsibility to design, implement and monitor the risk management plan to the CEO, who in turn manages this through the Risk Committee comprising the senior management.

Our Customers

We thrive to deliver excellence in customer service. We have a wide branch network with 26 branches, waiting to serve each and every need and query of our customers. We also ensure that customer relationship is at an optimal level. Our customers have their own unique needs, which require us to develop close relationships in order to understand and respond to them. In each of the markets and regions that we are present, we take into account the market forces which cover both economic and sustainability factors in developing the product mix we offer.

The company strives to ensure and maintain the highest standards for its products through adhering to all statutory and regulatory requirements, both local and international, as well as global best practices. As such, the company ensures the highest quality in processes and responsible marketing and communication. In the life insurance business, customer service is of high importance. From initiation of a policy to the event of a claim or maturity, we strive to provide customers

with best in class service. To this end we harness the latest technology to make our offering more convenient and efficient from a customer perspective.

The Future

The growth momentum of the life insurance industry in Sri Lanka is expected to continue as life insurance penetration is significantly lower in Sri Lanka compared to regional markets. Arpico Insurance will continue to implement strategies to develop their relationship with its stakeholders, emerging as customers preferred choice, built on professionalism and trust. Changing demographics of the country have opened up new opportunities in the health and retirement market. Hence our product development initiatives will be focused on launching innovative products that meet the above needs. In the next few years, digital tools too will be used in order to provide our customers with better service offerings. We intend to further develop all aspects of the business. We have ended 2016 on a strong note and we expect this momentum to continue to 2017 as well. We have a strong brand reputation, which trickles down from our parent company, an ethical business model and a professional team and a performance driven culture. These aspects combined with our financial strength and customer focus positions will see us achieving new heights in the future.

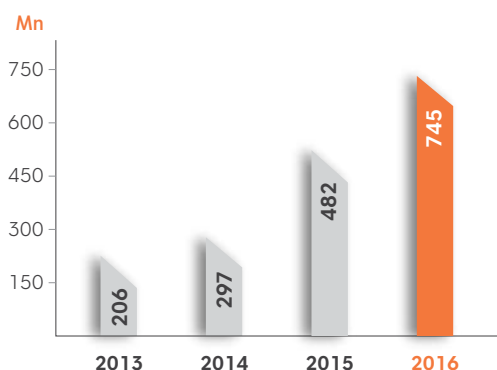
FINANCIAL REVIEW

Our long term vision for the Company is driven by the loyalty and trust placed in us by the investors. Responding to the trust they have placed in us, we ensure that the Company strikes the perfect balance between achieving our vision and enhancing shareholder wealth, thereby delivering to our shareholders the secure promise of high returns on investment. The three pillars of economic, social and environmental defines the company's core values as we put in every effort to create a sustainable organisation and the Company is committed to delivering and maximizing investor value.

The Company delivered another set of record results, despite persistent volatility in the macro-economic environment. The management continued to focus on the factors within our control, which included driving operational improvements, stringent cost control and increasing margins. This combined with the all-encompassing changes we introduced in the areas of effectiveness, training and development underpinned our excellent performance. In parallel, our focus on operational improvements has enabled us to build a solid platform for exceptional performance in the years ahead.

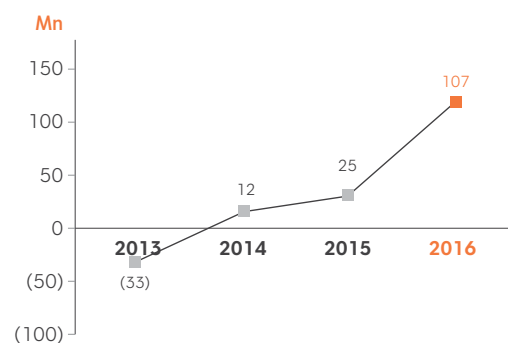
The macro environment had an impact on the business, particularly with rapidly decreasing interest rates, regulatory changes such as change in the valuation of life insurance valuation, Risk Based Capital (RBC) implementation and other investment opportunities. The Company evaluated these key regulatory changes in the business environment and aligned its strategies in order to reap long term benefits. The Company consistently improved its turnover, surpassing industry averages, while demonstrating a consistently exceptional performance .

Gross Written Premium



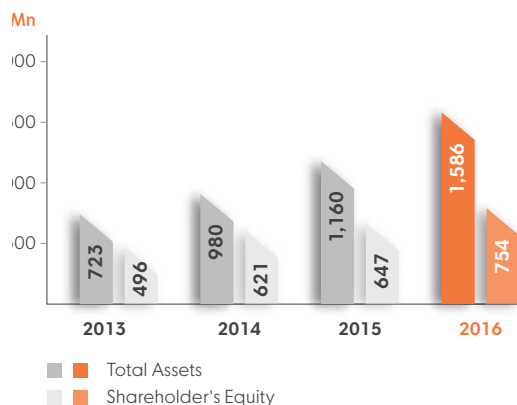
Arpico Insurance set a new benchmark in the first year of its operations of GWP 100 million and continued to outperform the industry standards during the last five years. Despite a very challenging environment, in 2016 GWP increased 55 percent from Rs. 482 million in 2015 to recording a total of Rs. 745 million. The First Year Premium for the year was Rs. 516 million which was another incremental growth of 48 percent. The Renewal Premium also grew by 72 percent to reach Rs. 229 million placing the Company squarely on a progressive path. The Company's increasing sales force and branch expansion drive are once again the major contributing factors to the acquisition cost.

Profitability



Year 2016 was an exceptional year for us, with the company recording a profit of Rs. 107 Million which is a 328% growth over the last year. Arpico Insurance has indeed grown up fast, and is harnessing a formidable growth. Through its initial teething period of two years to record healthy revenue numbers that are continually bolstered by its GWP.

Asset Base



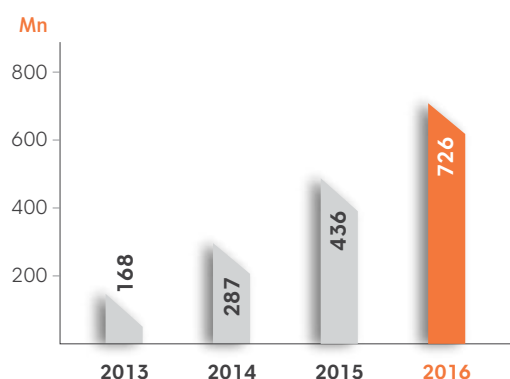
FINANCIAL REVIEW Contd.

The company's Assets Base has been growing on an upwards trajectory, recording steady growth since 2012. This has resulted in the company portraying a steady and healthy net value. In the year under review the Total Asset Base grew by 37 percent from Rs. 1,160 million in the year 2015 to record Rs. 1,587 million as at December 2016. It must be noted that the 27 percent growth in the Company's investment portfolio at Rs. 1,245 million in the year under review, made a positive impact on the asset base and on the overall financial health of the company.

Solvency Margin

As per the regulations issued by IBSL, Risk Based Capital was implemented from 2016 onwards and the companies were required to maintain a Capital Adequacy Ratio (CAR) of over 120%. As at 31st December 2016 company's CAR was at 584%.

Life Fund



Life fund represents the reserves set aside to meet the future claims and maturities of policyholders. In line with the Company's growth trend, the Life Fund too maintained an upward trajectory, a trait that reflects well on the financial integrity of the Company. With a 67 percent growth to reach Rs. 726 million as at December 2016, the Company is well-positioned to fulfil its obligations to all its policyholders.

Looking Ahead

The removal of several tax concessions provided to government securities, listed debt and unit trusts through the budget for 2017 has created an adverse impact on the overall investment climate in the country, and has resulted in the shutting down of new listed debt issuances in the stock market as a result of the high cost needed to compensate for loss of tax benefits, in addition to outflows witnessed from funds managed by Unit Trusts. Added to which continued foreign selling in the government securities market has placed additional upward pressure on the yield curve. It is expected that the syndicated loan and sale of state assets proceeds as planned which will ease pressure on the exchange rate and in turn make rupee denominated bonds attractive to foreign investors as well, resulting in a reducing yield curve towards the latter half of 2017. Weather conditions too have a role to play, with favourable monsoon seasons resulting in easing costs borne by the government as a result of the prevailing drought. The equity market is still lagging behind its peers even though fundamentals and strong corporate earning figures are predicted. Treasury will opt for a pick and choose approach and build on the existing portfolio whilst taking advantage of any trading gains that may arise.



GOVERNANCE

CORPORATE GOVERNANCE

A standard corporate governance model interconnects the dynamic relationship between Shareholders, Board of Directors and the Management. The Board is responsible to shareholders for creating and delivering sustainable shareholder value and it has come to be viewed as a differentiator among firms as good governance practices providing a sustainable competitive advantage. Arpico Insurance's governance policies and practices enable the Board to manage the company for the benefit of all stakeholders, ensuring a viable long term business. The corporate governance framework is built on the core principles of accountability, participation and transparency which are essential for the creation, enhancement and maintenance of a sustainable business model.

Thereby, along with the growth of the company, the corporate governance framework is reviewed at intervals ensuring adherence to best practices and to improve and adopt ethical principles and practices. We make sure that our practices comply with the requirements stipulated in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by the Colombo Stock Exchange.

The following elucidates the Corporate Governance policies, practices and processes adopted by the Board

Board of Directors

The company is supervised by an effective Board who advises and counsels the executive officers who manage the Company's business and approves the Company's overall strategy on behalf of the shareholders. The Board actively reviews the Company's policies and business strategies and contributes in developing the Company as a focused and a sustainable insurer. The Board collectively and individually, act in good faith and in the best interest of the company in decisions making.

The composition of the Board is four directors which comprises with two non executive directors and two independent non executive directors. Brief profiles of individual directors are set out on pages 12 to 13 and the composition is as follows.

Name of the Director	Non-Executive Director	Independent Non-Executive Director
Mr. Viville Perera	√	
Mr. Shiron Gooneratne	√	
Mrs. Lasinee Serasinhe		√
Mr. S. Sirikananathan		√

Role and Responsibilities of the Board

The role of the Board involves providing with required supervision and leadership to areas including strategy formulation and implementation, performance review, internal controls, adherence to rules, regulations, policies and procedures and the responsibilities that are defined are as follows.

- To ensure highest level of compliance is adhered to in all operations of the business.
- To shareholders for the governance of the Company.
- To ensure that highest standards of disclosure is maintained resulting in transparency in all business activities and operations.
- To effectively and efficiently direct Company's resources to bring about the best desired results for its shareholders.
- To provide direction by approval of Company's medium and long term strategy, annual budgets and significant financial cum operational policies.

Functions of the Board

The main functions of the Board are to:

- a. Direct the business and affairs of the Company.
- b. Formulate short and long-term strategies, as a basis for the operational plans of the company and monitor implementation.
- c. Report on their stewardship to shareholders.
- d. Identify the principal risks of the business and ensure that adequate risk management systems are in place.
- e. Ensure internal controls are adequate and effective.
- f. Approve the annual capital and operating budgets and review performance against budgets.
- g. Approve the interim and annual financial statements of the company.
- h. Ensure compliance with laws and regulations.
- i. Sanction all material contracts, acquisitions or disposal of assets.

Appointment of Directors

Directors' appointments are regulated by section 29 of the Articles of Association of the Company and consequently an Ordinary Resolution is passed for the authorisation of the appointments.

As per the Regulation of Insurance Industry Act, prior approval from the Insurance Board of Sri Lanka is also obtained for the new appointments.

Meetings of the Board of Directors

The Board meets regularly to deal with the ordinary business of the Company and to evaluate whether the performance and practices are coherent with the Board expectations.

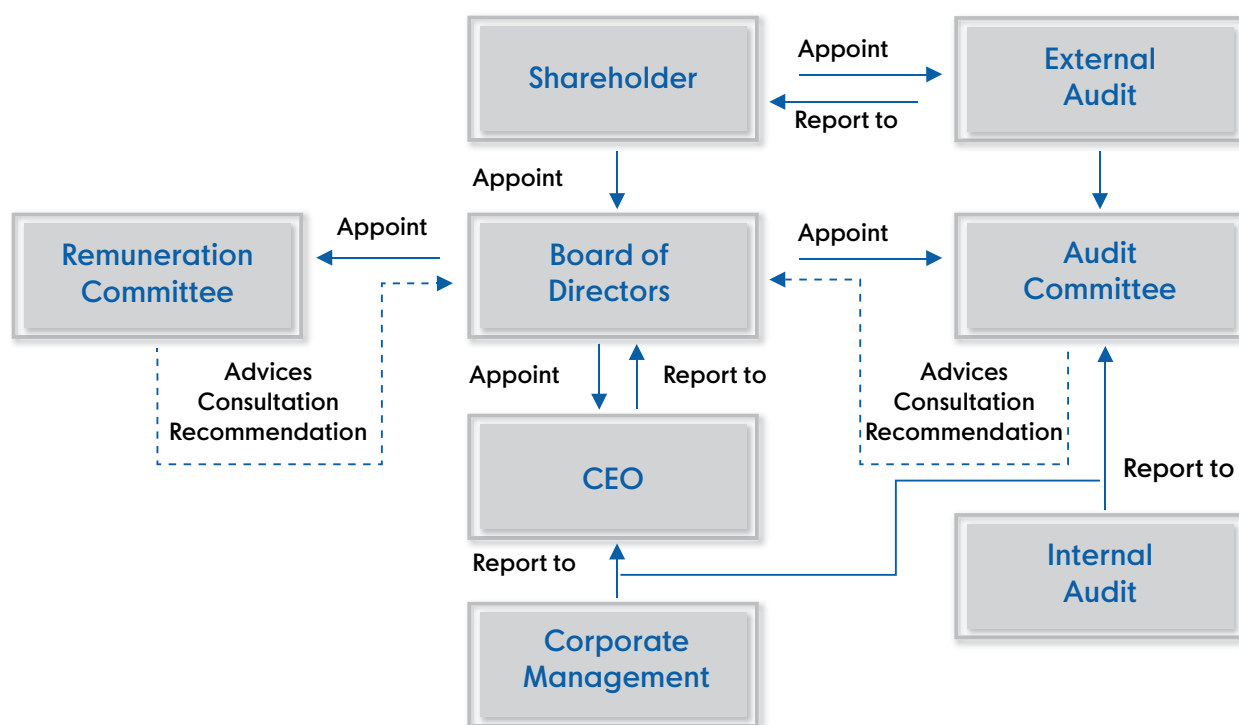
Accordingly 5 Board meetings were held during 2016. Apart from the above Sub Committee meetings are held depending on the requirements. Any absences are informed in advance and duly recorded. Directors are provided with the Board papers well in advance to enable more constructive dialogue at meeting to arrive at important decisions.

Independent Directors

Mr. S. Sirikananathan and Mrs. Lasinee Serasinhe operate as Independent Non-Executive directors. Their diverse experience and expertise in commercial, corporate and regulatory activities provide an independent view and judgment to the board.

Corporate Governance Structure

The corporate governance structure of Arpico Insurance is depicted in the following diagram.



Sub Committees of the Board

The Board is responsible for the performance and the affairs of the Company and performs its supervisory function by delegating the responsibility to sub committees which operates within clearly defined terms of reference. The Board is responsible for establishment, functioning and appointment of members for the sub committees of the Board.

Audit Committee

The Board-appointed Board Audit Committee overlooks the application of accounting policies, financial reporting and internal control principles of the company. The Audit Committee report on pages 27 to 28 of this report details the activities carried out during the year. The Board Audit Committee is chaired by an independent non-executive director comprising entirely with independent non-executive directors.

CORPORATE GOVERNANCE Contd.

Investment Committee

The Board-appointed Investment Committee overlooks the investment activities of the company. The Committee consists of two Non-Executive Directors and an independent non-executive director. Members of the investment committee are as follows:

Mr. Viville Perera	Non-Executive Director
Mr. Shiron Gooneratne	Non-Executive Director
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Remuneration Committee

Arpico Insurance is one of the subsidiaries of Richard Pieris and Company PLC. As such, the Remuneration Committee of Richard Pieris and Company PLC acts as the Remuneration Committee for Arpico Insurance. The report of the Remuneration Committee is on page 29 of this report.

Related Party Transaction Review Committee

Related Party Transaction Review Committee of Richard Pieris and Company PLC acts as the Related Party Transaction Review Committee for Arpico Insurance. The report of the Related Party Transaction Review Committee is on page 30 of this report.

Shareholding Structure

Kegalle Plantation PLC is the major shareholder of the company holding 40% of the shares while Richard Pieris Distributors Limited and Richard Pieris And Company PLC holding 27% and 23% respectively. 10% of the shares are held by Public.

Internal Controls

The Board is responsible for establishing an effective internal control system to safeguard the assets of the company and ensure that accurate and complete records are maintained from which reliable information is generated. The system includes all controls including financial, operational and risk management.

The Internal Audit Division reporting to the Chairman of the Audit Committee regularly evaluates the internal control system across the organisation and its findings are reviewed first by the Audit Committee and significant issues are thereafter reported to the Board. The Board ensures the sufficiency and effectiveness of the company's internal control system.

Compliance

The company is governed by mandatory rules and regulations which are established by Companies Act No. 07 of 2007, Listing Rules of the CSE. Further regulation of Insurance Industry (RII) Act No. 43 of 2000 and subsequent amendments and rules, regulations, directives and circulars issued by the Insurance Board of Sri Lanka (IBSL). The Financial Statements of the Company are prepared in strict compliance with the guidelines of the Sri Lanka Accounting Standards (LKAS and SLFRS) and other statutory regulations. Financial Statements are published quarterly in line with the Listing Rules of the Colombo Stock Exchange through which all significant developments are reported to shareholders quarterly. Furthermore Monthly and quarterly returns are prepared and submitted promptly as per the IBSL guidelines. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

Going Concern

The Directors have continued to use the 'Going Concern' basis in the preparation of the Financial Statements, after cautious review of the financial position and cash flow status of the company. Corporate governance is of paramount importance to a company and is virtually as important as its major business strategies. It augments a company's image in the public eye as a self-policing company that is accountable and worthy of shareholder and debt holder capital. It dictates the collective philosophy, practices and culture of an organisation and its employees. At Arpico Insurance, corporate governance plays a strong role in all its principal activities. We strive to further enhance its governance structure to identify corporate governance practices that can effectively bring about a culture of sustainability within the business entity. We strongly believe that we will stand strong with a resilient governance structure to continue our operations for the foreseeable future.

AUDIT COMMITTEE REPORT

The Audit Committee Charter, approved by the Board of Directors defines the purpose, authority, composition, meetings and responsibilities of the Committee.

Purpose

The purpose of the Audit Committee is to:

- Assist the Board of Directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the Company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the Company's external auditors.
- Make recommendations to the Board on the appointment of external auditors, their remuneration and their terms of appointment.

Composition

The Audit Committee consisted of two Independent Non-Executive Directors namely, Mr. S Sirikananathan – Chairman and Mrs L Serasinhe. Their brief profiles are given on pages 12 to 13 of the Annual Report.

The Company Secretary functioned as secretary to the Audit Committee.

Meetings

The Committee held 06 meetings during the year under review. The Group Audit Committee Chairman, the Financial Controller and the Group Internal Auditors were generally invited to attend audit committee meetings. The key management personnel and the external auditors were invited to attend the audit committee meetings when their presence was considered necessary. Minutes of the meetings were tabled at meetings of the Board to ensure that all Directors were kept informed of the activities.

Internal Audit and Risk Management

The Audit Committee has reviewed and approved the internal audit programme, ensured it covered major operational aspects and monitored the effectiveness of the internal audit. In this regard, the committee reviewed the internal audit findings and management responses thereto and where necessary, recommended corrective actions and monitored implementation.

Internal Controls

During its meetings the Audit Committee reviewed the adequacy and effectiveness of the internal control systems and the Company's approach to its exposure to the business and financial risks. The review also ensured that processes are in place to safeguard the assets of the organization and that the financial reporting system contemplated was in operation and could be relied upon in the preparation and presentation of Financial Statements. The Committee also noted that monthly comprehensive Financial Review Reports highlighting all key performance criteria were prepared and reviewed by the Management.

Financial Statements and Related Disclosures

The Committee, in line with its responsibility to oversee the Company's process of financial reporting, reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the management:

- I. Significant financial issues and judgements made in connection with the preparation of the Company's Financial Statements.
- II. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- III. Requirements of the Companies Act No 07 of 2007 and the Regulation of Insurance Industry Act No 43 of 2000 and amendments thereto.

The Audit Committee has reviewed all Interim Financial Statements and the Annual Financial Statements for the year ended 31st December 2016 before their issuance.

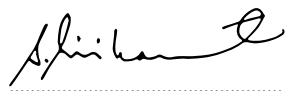
AUDIT COMMITTEE REPORT Contd.

External Auditors

The Audit Committee met with the External Auditors, reviewed the Audited Financial Statements and discussed all matters of relevance and significance. The Committee ensured that the non-audit services provided by the External Auditors did not impair their independence and objectivity and such services were assigned in a manner to prevent any conflict of interest. The Audit Committee has recommended to the Board of Directors that Messrs. Ernst and Young be reappointed as Auditors for the financial year ending 31 December 2017 subject to approval of shareholders at the next Annual General Meeting.

Conclusion

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company, that the assets are safeguarded and that all relevant laws, rules, regulations, code of ethics and standards of conduct have been followed.



S. Sirikananathan
Chairman – Audit Committee

Colombo, Sri Lanka.
13 March 2017

REMUNERATION COMMITTEE REPORT

The Remuneration Committee of the Parent Company acted as the Remuneration Committee of Arpico Insurance PLC.

The Remuneration Committee, appointed by and responsible to the Board of Directors, consists of three independent Non Executive Directors, Dr Jayatissa De Costa, Mr Jagath C Korale, and Mr. Prasanna Fernando. The Committee is chaired by Dr Jayatissa De Costa. The committee met on several occasions during the financial year.

The Remuneration Committee has reviewed and recommended the following to the Board of Directors:

1. Policy on remuneration of the Executive Staff.

The committee has taken into account the competitive environment in the insurance industry in determining the salary structure.



.....
Dr. Jayatissa De Costa
Chairman

13 March 2017

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The Related Party Transactions Review Committee of the Parent Company acts as the Related Party Transactions Review Committee of Arpico Insurance PLC.

The Related Party Transactions Review Committee, appointed by and responsible to the Board of Directors, consists of three independent Non Executive Directors, Dr Jayatissa De Costa, Mr Jagath C Korale, and Mr. Prasanna Fernando. The committee met on several occasions during the financial year.

The Committee reviewed all related party transactions of the Company for the year 2016. All related party transactions entered into during the year were of a recurrent, trading nature and were necessary for the day-to-day operations of the Company. In the opinion of the Committee, the terms of these transactions were not more favourable to the related parties than those generally available to the public. All details of such related party transactions entered in to during the year are given in Note 31 to the Financial Statements on pages 74 to 75 of this Annual Report.



.....
Dr. Jayatissa De Costa
Chairman

13 March 2017

RISK MANAGEMENT

Risk Management

Risk management can be defined as activities that are undertaken to reduce exposure to loss. For insurance companies risk management is of utmost importance because insurance is necessarily the business of risk acceptance. Hence, risk management is a fundamental aspect of the industry's business activities. However all enterprises face uncertainty in their respective businesses, and the Management's task is to decide the levels of these uncertainties, as well as to define which level will be appropriate for creating added value. While uncertainty brings about risk, it also paves way for new opportunities. Uncertainties can therefore lead either to loss or the increase of value. Risk Management allows an organization to act effectively in uncertain conditions and use opportunities for the potential growth of company value.

Risk Management Objectives

The Risk Management process allows Managers to reach the desired indicators of profitability and return on capital, while preventing irrational resource utilization. It also provides an avenue which promotes effective financial reporting, compliance to local or international legislation, while avoiding reputational losses. Thus, Risk Management can be considered an instrument to achieve business goals and evade errors and surprises.

Risks Faced By The Company

In today's macro-economic environment, all industries face dynamic factors that are beginning to transform the way business is conducted. With this it set forth number of risks for which the company will be exposed to. Hence all these elements need to be properly managed in order to mitigate the levels of risk which the company is faced with. The main areas which the company's risks are based on include,

- Price wars due to an extensive number of players
- High staff turnover
- Brain drain of the labour market
- High number of life policy lapses due to the prevailing economic environment
- Increasing threats on information security
- High volatility in interest rates
- Increasing regulatory requirements

As all insurance entities have to follow strict guidelines pertaining to Risk Based Capital (RBC), Anti-Money Laundering requirements, changes in Accounting Standards, foreign regulatory requirements including FATCA, it is necessary that they have to have strict Risk Management policy in place to avoid unexpected errors in the framework. Therefore as a part of the overall Corporate Governance framework and to ensure an effective and efficient operation, the Board is responsible for overseeing that the company has in place an effective systems that functions to address the key risks it faces.



The Company has categorised all the risks it faces into the following broad categories.

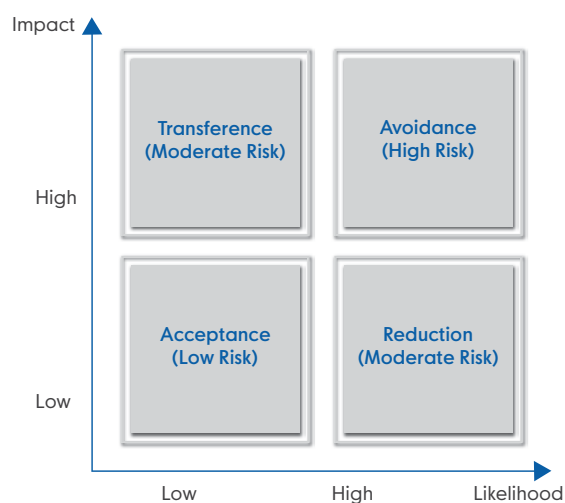
- Life Insurance Risk
- Re-Insurance Risk
- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk
- Compliance Risk

RISK MANAGEMENT Contd.

RISK MANAGEMENT OBJECTIVES

Arpico Insurance's Risk Management program is designed in order to mitigate the following objectives:

- To eliminate or reduce losses greater than expected
- To provide a framework, to foster a consistent approach to managing risks
- To empower managers to foresee, evaluate, and measure risks in a manner which facilitates improved decision making
- To increase returns, sustainable earnings, growth and shareholder value through the elimination of risks
- Increase the company's reputation in connection with good risk management policies.



Risk Category	Risk Description	Risk Rating	Risk Mitigation
Underwriting Risk	This refers to the risk of accepting insurance business that carries an unacceptably high exposure to the risk of claims and accepting risks at rates that do not contain an adequate risk premium. Underwriting risk could also arise due to a lack of understanding regarding changes in the environment such as the effect of climate change.	High	• An adequate level of segregation of duties is ensured between underwriting and sales. The underwriting function is centralised and operates from the Head Office. • Manual of Financial Authority is available to give guidance on underwriting limits. • Frequent audits and verifications. • Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced. • Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service. • Carrying out underwriting as per the guidelines set by the reinsurers.

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Reinsurance Risk	Retaining risks beyond the Company's net retention capacity without having adequate reinsurance; or the inability of reinsurers to meet their commitments due to insufficient financial strength.	Moderate	• Company deals with Munich Re which is the no 1 reinsurer in the world. • Frequent review of the outstanding reinsurance receivables. • A very close and professional relationship is maintained with all reinsurers and reinsurance brokers. • Only reinsurers with 'A' or above ratings are used as reinsurers. • Changes to the ratings of reinsurance companies are continuously monitored.
Credit Risk	Credit risk is the risk of financial losses if the counter party fails to honor the payment obligation under a contract.	Moderate	• Continuously monitor the credit worthiness and financial stability of all institutions and individuals. • Placement of corporate debt investment exposures with counter parties whose credit rating is "BBB+" (Ika) or above as rated by acceptable rating agencies. • Strict credit limits imposed on all such parties, following a strict evaluation of their stability and business activities. • Structured and standardized credit approval process depending on the size, nature of business, and credit. • Approval carried out by senior, competent staff.
Liquidity Risk	Inability to meet contractual obligations eg: claim payment.	Low	• Conducting and reviewing of maturity analysis of securities to avoid a maturity mismatch between assets and liabilities that would cause liquidity issues. • Set up contingency funding plans specifying minimum proportion of funds to meet emergency calls and events that would trigger such plans. • Investment committee continuously monitors the asset liability management aspect of the company.

RISK MANAGEMENT Contd.

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Market Risk	Impact on the investment portfolio due to changes in the interest rate.	High	- Arpico Insurance has diversified its investment risk by investing in various financial instruments. A large portion of the Company's investments are held in Government Securities, thus minimizing credit default risk on investments. - The Company has laid down clear Investment Policy which have been approved by the Board of Directors.
Operational Risk	Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.	Moderate	- Development of strategic plan. - Take responsibility for all levels has been delegated effectively with clear definition. - Make sure ICT structure is on par in order to maintain proper monitoring procedures.
Compliance Risk	Compliance risk is the risk of noncompliance with the laws and regulations. Also this addresses the risk that arises from any changes in laws and regulatory frameworks.	Moderate	- Constantly review and update key regulatory developments to anticipate changes and their potential impact on performance. - Respond both unilaterally and through effective participation in industry forums, i.e. Insurance Association of Sri Lanka. - Company complies with all rules, regulations and laws. - Periodically review and update established set of policies and procedures which are embedded in all business processes.

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FINANCIAL INFORMATION

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

General

It is with pleasure that the Board of Directors of Arpico Insurance PLC present their Annual Report on the affairs of the company, Audited Financial Statements and the Auditor's Report for the year ended 31st December 2016. This report was approved by the Board of Directors on 13 March 2017.

The ordinary shares of the company are listed on the Diri Savi Board of Colombo Stock Exchange.

Principal Activities

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

Vision Mission and Corporate Values

Company's Vision and Mission are provided on Page no 05 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the Vision and Mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

Review of Company Performance

Complying with the requirements of the Companies Act, the Acting Chairman's Message, Operational Environment, Financial Review and Other statements in this Annual Report briefly describe the performance of the Company during the current financial year. These reports form an integral part of the Annual Report of the Board of Directors.

Future Development

The Acting Chairman's Message on page 08 offers an overview of the Company's future developments.

Financial Statements

The Audited Financial Statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements of the Company for the financial year ended 31st December 2016 on pages 42 to 76 form an integral part of the Annual Report of the Directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act no 43 of 2000 and other rules and regulations of Insurance Board of Sri Lanka and listing rules of Colombo Stock Exchange.

Auditors' Report

The Auditors' Report can be found on page 41 of this Annual Report.

Auditors

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 11 to the Financial Statements. As far as the Directors are aware, the auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

Accounting Policies

The Accounting Policies adopted in the preparation of the Financial Statements are given on pages 47 to 55. There are no significant changes to the accounting policies of the company during the year.

Gross Written Premium

The table below gives growth in Gross Written Premium for the year 2016. Further details on financial performance are given on pages 42 to 43.

	2016 Rs '000	2015 Rs '000	Growth
FYP	515,545	349,059	48%
Renewal	229,841	133,388	72%
Total	745,386	482,447	55%

Results

The Company recorded a profit of Rs 107.8 million for the year. A synopsis of the financial performance is presented below.

	2016 Rs '000	2015 Rs '000
Profit Before Tax	107,889	25,729
Income Tax Expense	0	0
Profit After Tax	107,889	25,729

Taxation

The Company does not have income tax liability for the year. Details are disclosed in note 12 to the Financial Statements.

Property, Plant and Equipment

The book value of Property, Plant & Equipment of the Company stood at Rs. 21.8 million as at the Balance Sheet date. Details are given in Note 14 to the Financial Statements.

Investments

Investments of the Company amounted to Rs. 1,245 million. Details are given in Note 15 to the Financial Statements.

Stated Capital and Reserves

Stated Capital and Total Equity of the Company as at 31st December 2016 stood at Rs. 675 million and Rs 754 million respectively. Details for Statement of Changes in Equity are given on page 46.

Human Resources

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

Board of Directors

The Board of Directors of the Company consists of four (04) Directors with wide financial knowledge and experience. The Names of the Directors who held office are given below and their brief profiles appear on pages 12 to 13.

Name of the Director	Status
Mr. W J V P Perera	Non-Executive Director
Mr. S Gooneratne	Non-Executive Director
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinhe	Independent Non-Executive Director

Directors Interest in Contracts with the Company

Directors' and other Key Management Personnel's interest in transactions of the Company are disclosed in note 31 to the Financial Statements.

The Company maintains an Interest Register in conforming to the provisions of the Companies Act No. 07 of 2007.

Directors' Shareholdings

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2016 No of Shares	2015 No of Shares
Mr. W J V P Perera	Nil	Nil
Mr. S Gooneratne	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY **Contd.**

Directors' Responsibility for Financial Reporting

The Statement of Directors Responsibility is given on Page 39.

Board Sub Committees

The Board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the Company. The sub committees consist of the Board Audit Committee, Risk and Compliance Committee and an Investment Committee.

Corporate Governance

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 24 to 26.

Statutory Payments

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board Meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in note 33 (page 76) to the Financial Statements.

Going Concern

The Directors have adopted the Going Concern basis in preparing the Financial Statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

Annual General Meeting

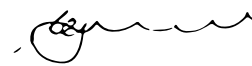
The Annual General Meeting will be held at the registered office of the company, No 310, Highlevel Road, Nawinna, Maharagama on 28th April 2017. The notice of the Annual General Meeting is on Page 82 of this publication.

For and on behalf of the Board,

13 March 2017.



Director
(Viville Perera)



Director
(Shiron Gooneratne)



Company Secretary
(J. Siriweera)

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Companies Act, No.7 of 2007 places responsibility on the Directors to prepare and present financial statements for each year comprising a balance sheet as at year end date and the statements of income, cash flows and changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000 and the Listing Rules of Colombo Stock Exchange have been complied with

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the Company with reasonable accuracy; they are mindful of their responsibility to ensure that the Company maintains adequate accounting records for the purpose.

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The Directors are responsible for the proper management of the resources of the Company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the Company is protected from undue risks, frauds and other irregularities.

The Directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

By Order of the Board,



.....
Company Secretary
Colombo, Sri Lanka

13 March 2017.

ACTUARY'S REPORT



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
603 2161 0433 Fax 603 2161 3595

13th March 2017

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2016

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2016. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2016, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2016, the Company maintained a Capital Adequacy Ratio of 584% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Board of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2016 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "H. Scott Odierno".

Hassan Scott Odierno
Actuary

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Arpico Insurance PLC, ("the Company"), which comprise the statement of financial position as at 31 December 2016, and the statement of income, statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on other legal and regulatory requirements

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion and Scope and Limitations of the audit are as stated above.
- b) In our opinion :
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company, comply with the requirements of Section 151 of the Companies Act.

As required by Section 47(2) of the regulation of Insurance Industry Act, No.43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Board of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

13 March 2017
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

INCOME STATEMENT

Year ended 31 December	Note	2016 Rs.	2015 Rs.
Gross written premium	4 (a)	745,386,354	482,447,118
Premium ceded to reinsurers	4 (b)	(24,436,905)	(21,833,476)
Net written premium		720,949,449	460,613,642
Other revenue			
Fees and commission income	5	6,269,983	4,249,018
Investment income	6	114,148,063	78,565,662
Net realised gains / (losses)	7	(1,089,247)	1,477,455
Other operating revenue	8	4,773,224	3,501,200
Total other revenue		124,102,023	87,793,335
Net income		845,051,472	548,406,977
Net insurance benefits and claims paid	9 (a)	(78,125,724)	(65,985,012)
Net change in insurance claims outstanding	9 (b)	(872,422)	(2,224,490)
Underwriting and net acquisition costs	10	(214,224,769)	(168,286,967)
Change in contract liabilities - life fund	24	(290,207,532)	(155,787,012)
Other operating and administrative expenses	11	(153,731,854)	(130,394,265)
Total benefits, claims and other expenses		(737,162,301)	(522,677,746)
Profit before tax		107,889,171	25,729,231
Income tax expense	12(a)	-	-
Profit for the year		107,889,171	25,729,231
Earnings per share - basic	13	1.63	0.39

The accounting policies and notes as set out in pages 47 to 76 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

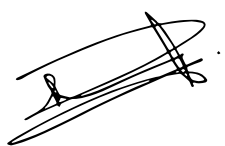
Year ended 31 December	Note	2016 Rs.	2015 Rs.
Profit for the year		107,889,171	25,729,231
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	24	(337,292)	(6,639,978)
Fair value movement of AFS reserve transferred to life fund	24	337,292	6,639,978
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurment gain on defined benefit plan	25	(431,856)	227,287
Other comprehensive income for the year, net of tax		(431,856)	227,287
Total comprehensive income for the year, net of tax		107,457,315	25,956,518

The accounting policies and notes as set out in pages 47 to 76 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

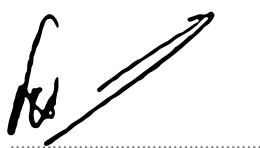
As at 31 December	Note	2016 Rs.	2015 Rs.
Assets			
Property, plant and equipment	14	21,850,521	16,714,299
Financial assets	15	1,245,402,750	982,069,704
Loans to life policyholders	16	111,675,715	25,038,597
Reinsurance receivable	17	7,706,821	5,747,323
Amounts due from related party	18	-	182,801
Premium receivable	19	39,491,469	57,886,185
Other assets	20	54,329,540	44,414,243
Cash in hand and at bank	21	106,504,318	28,638,157
Total assets		1,586,961,134	1,160,691,309
Equity and liabilities			
Shareholders' equity			
Stated capital	23	675,564,870	675,564,870
Retained earnings		79,145,018	(28,312,297)
Other component of equity		-	-
Total ordinary shareholders' equity		754,709,888	647,252,573
Liabilities			
Insurance contract liabilities	24	726,047,856	436,177,616
Employee benefit obligation	25	4,608,990	2,648,378
Reinsurance creditors	26	22,729,392	18,314,863
Amounts due to related party	27	6,676,507	120,421
Other financial liabilities	28	54,461,564	45,770,387
Other liabilities	29	17,726,937	10,407,071
Total liabilities		832,251,246	513,438,736
Total equity and liabilities		1,586,961,134	1,160,691,309

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



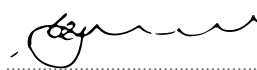
Financial Controller
(Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Director
(W.J. Viville P. Perera)

13 March 2017
Colombo.



Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 47 to 76 form an integral part of these financial statements.

STATEMENT OF CASH FLOW

Year ended 31 December	Note	2016 Rs.	2015 Rs.
Cash flows from operating activities			
Premium received from customers		763,781,070	435,136,647
Reinsurance premium paid		(12,731,472)	(14,048,545)
Claims paid		(86,730,412)	(70,674,915)
Reinsurance receipts in respect of claims		7,293,406	600,439
Other operating cash payments		(314,383,704)	(229,526,902)
Cash generated from operating activities	Note A	357,228,888	121,486,724
Tax paid		(8,673,410)	(5,047,575)
Net cash generated from operating activities		348,555,478	116,439,149
Cash flows from investing activities			
Net acquisition of investments		(258,587,621)	(126,451,633)
Purchase of property, plant and equipment	14	(12,101,696)	(6,990,330)
Net cash flows used in investing activities		(270,689,317)	(133,441,963)
Cash flows from financing activities			
Net cash generated from financing activities		-	-
Net increase in cash and cash equivalents	Note B	77,866,161	(17,002,814)
A. Reconciliation of operating profit with cash flows from operating activities			
Profit/(Loss) before tax		107,889,171	25,729,231
Depreciation charge		6,817,379	6,027,190
(Increase) / Decrease in reinsurance receivable		(1,959,498)	(600,439)
(Increase) / Decrease in premium receivable		18,394,716	(47,310,471)
(Increase) / Decrease in policyholders loans		(86,637,118)	(5,341,417)
(Increase)/Decrease in other assets		(1,241,888)	(8,909,019)
Increase / (Decrease) in life fund		289,870,240	149,147,034
Increase/(Decrease) in creditors		22,567,129	1,623,514
Movement in retirement benefits		1,528,757	1,121,101
Cash flows from operating activities		357,228,888	121,486,724
B. Increase in cash and cash equivalents			
Net cash and cash equivalents for the current year		106,504,318	28,638,157
Net cash and cash equivalents at the beginning of the year	21	28,638,157	45,640,971
Net Increase in cash and cash equivalents		77,866,161	(17,002,814)

The accounting policies and notes as set out in pages 47 to 76 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December	Stated Capital Rs.	Revenue Reserve Rs.	Total Equity Rs.
As at 1 January 2015	675,564,870	(54,268,815)	621,296,055
Profit for the year	-	25,729,231	25,729,231
Other comprehensive income	-	227,287	227,287
Total comprehensive income	-	25,956,518	25,956,518
As at 31 December 2015	675,564,870	(28,312,297)	647,252,573
Profit for the year	-	107,889,171	107,889,171
Other comprehensive income	-	(431,856)	(431,856)
Total comprehensive income	-	107,457,315	107,457,315
As at 31 December 2016	675,564,870	79,145,018	754,709,888

The accounting policies and notes as set out in pages 47 to 76 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting Entity

Arpico Insurance PLC (formerly known as Arpico Insurance Limited) ("Company") is a limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal Activities and Nature of Operations

Company is primarily engaged in carrying out Life Insurance business. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent Enterprise

The Company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of Authorization for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2016 were authorized for issue by the board of directors on 13 March 2017.

2. BASIS OF PREPARATION

2.1.1 Statement of Compliance

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

2.1.2 Changes in Accounting Policies

The accounting policies adapted by the company is consistent with those used in the previous year. The Company Financial Statements include the following components:

- The Statement of Financial Position providing information on the financial position of the Company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the Company for the year under review;

- The Statement of Changes in Equity depicting all changes in shareholders';
- The Statement of Cash Flows providing information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Basis of Measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and basis of measurement	Note No.
Available-for-sale financial assets are measured at fair value	15

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.3 Going Concern

When preparing the Financial Statements the Directors have assessed the ability of the company to continue as a going concern. The Directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

2.4 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

NOTES TO THE FINANCIAL STATEMENTS Contd.

2.5 Use of Estimates and Judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

(a) Insurance contract liabilities

The liability for Life Insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in Note 24. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing Life Insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the Company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the Company's own risk exposure.

(b) Valuation of employee benefit obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 25.

(c) Provisions for Liabilities and Contingencies

The Company receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due process in respective legal jurisdictions.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Insurance Contracts

Product classification

Insurance contracts are those contracts when the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the Company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial Valuation of Life Insurance Fund

The Directors agree to the long term insurance provision for the Company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the Life Insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

3.2 Property, Plant and Equipment

3.2.1 Basis of Recognition

Property, Plant and Equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant and Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

3.2.2 Measurement

An item of Property, Plant and Equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

3.2.3 Subsequent Costs

The cost of replacing a part of an item of Plant and Equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day to day servicing of Property, Plant and Equipment is charged to the Statement of Income.

3.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years

3.2.6 De-recognition

The carrying amount of an item of Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of Property, Plant and Equipment is included in the Statement of Income when the item is derecognised.

3.3 Impairment of Non-Financial Asset

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS Contd.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

3.4 Financial Assets

3.4.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The Company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the Company's ability.

The Company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Available for Sale
Repos	Loans and Receivables
Corporate Bonds	Loans and Receivables
Fixed Deposits	Loans and Receivables
Policy Loans	Loans and Receivables

3.4.2 Subsequent measurement

(a) Loans and Receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company also decided to classify unquoted Corporate Debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the income statement in the 'Other Revenue' and removed from the available-for-sale reserve.

The Company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the Company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the Company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired then the amount recorded in equity is reclassified to the income statement.

3.4.3 De-recognition

The company derecognises a financial asset when

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.4.5 Fair Value Measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

NOTES TO THE FINANCIAL STATEMENTS Contd.

3.4.6 Impairment of Financial Asset

The Company assesses at each reporting date whether a financial asset or group of financial assets is impaired.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available for sale financial asset

For available-for-sale financial investments, the Company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

3.5 Deferred Tax

Tax losses incurred are utilized to recognize a deferred tax asset up to the extent of the deferred tax liability arising from taxable temporary differences. Thus no deferred tax asset is recognized in the financial statements as it is not probable that the future taxable profits would be adequate to utilize the available tax losses fully in the foreseeable future.

3.6 Reinsurance Contracts

The Company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

3.7 Premium Receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life Insurance premiums (only the premiums due in the 30 day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the Company policy.

3.8 Cash and Cash Equivalents

Cash and Cash Equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

3.9 Insurance Contract Liabilities

3.9.1 Life Insurance Contract Liabilities

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the net premium method as specified by the Insurance Board of Sri Lanka (IBSL) based on the recommendation of the Independent Consultant Actuary. The liability is determined as the sum of the discounted value of the expected future benefits, less the discounted value of the expected future premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is computed based on IBSL specified guidelines and current assumptions which vary based on the contract type.

Furthermore, adjustments are performed to capture the likely liabilities that may arise due to currently lapsed contracts reviving in the future.

3.9.2 Liability Adequacy Test

As required by the SLFRS 4- Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as

investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

3.10 Financial Liabilities

3.10.1 Initial Recognition and Measurement

Financial Liabilities within the scope of LKAS 39 are classified as Financial Liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

3.10.2 Subsequent Measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial Liabilities at Fair value through Profit or Loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognized in the Statement of Income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

(b) Other Financial Liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

3.10.3 De recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

NOTES TO THE FINANCIAL STATEMENTS Contd.

3.11 Employee Benefits

(a) Defined Benefit Plan – Gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the payment of gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits.

The initial cost, the gratuity charge for the period and the gain/loss on change in assumptions after the initial adoption, if any, is included as an expense/income in the statement of income. Gratuity liability was not previously recognized in the financial statements as the company was incorporated in June 2011. The gratuity liability is not externally funded.

(b) Defined Contribution Plans – Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund Contribution and Employees’ Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes a defined percentage of gross emoluments of employees to an approved Provident Fund and to the Employees’ Trust Fund respectively.

3.12 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

3.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability.

Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.14 Equity movements

3.14.1 Stated capital

The Company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

3.14.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company’s shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

3.15 Revenue Recognition

(a) Gross Premium

Gross recurring premiums on life are recognised as revenue when payable by the policyholder. For single premium business revenue is recognized on the date on which the policy is effective.

(b) Reinsurance Premium

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and Commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognised as revenue upon receipt or becoming due.

(d) Investment Income

Interest incomes for all interest-bearing financial are recognised within ‘investment income’ in the Income Statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other Income

Other income is recognised on an accrual basis.

3.16 Benefits, Claims & Expenses recognition

(a) Gross Benefits and Claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are disclosed in the income statement.

(b) Reinsurance Claim Recoveries

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses Recognition

Expenses are recognised in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of income.

3.17 Cash Flow Statement

The Cash Flow Statement has been prepared using the Indirect Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

3.18 Standards issued but not yet effective

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2016 reporting periods. None of these have been early adopted by the Company.

Sri Lanka accounting standard (SLFRS 9) – financial instruments:

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

As the company's activities are predominantly connected with insurance, the company will be eligible for the temporary exemption from applying SLFRS 9.

Sri Lanka accounting standard (SLFRS 15) – revenue from contracts with customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting beginning on or after 1 January 2018, with early adoption permitted.

There will not be any significant impact to insurance transactions from this standard since SLFRS 4 Insurance Contracts is scope out from this.

NOTES TO THE FINANCIAL STATEMENTS Contd.

4.	NET WRITTEN PREMIUM	2016 Rs.	2015 Rs.
4 (a)	Gross premium on insurance contracts	745,386,354	482,447,118
	Total gross written premium	745,386,354	482,447,118
4 (b)	Premium ceded to reinsurers on insurance contracts		
	Conventional policies	24,436,905	21,833,476
	Total premium ceded to reinsurers	24,436,905	21,833,476
	Total net written premium	720,949,449	460,613,642
5.	FEES AND COMMISSION INCOME	2016 Rs.	2015 Rs.
	Policyholder administration fees	6,269,983	4,249,018
	Total fees and commission income	6,269,983	4,249,018
6.	INVESTMENT INCOME	2016 Rs.	2015 Rs.
	Interest income		
	Financial assets - available for sale	27,337,801	13,593,364
	Financial assets - loans and receivable	86,810,262	64,972,298
	Total investment income	114,148,063	78,565,662
7.	NET REALIZED GAINS / LOSSES	2016 Rs.	2015 Rs.
	Net realised gains / (Losses)	(1,089,247)	1,477,455
	Total net realized gains / (Losses)	(1,089,247)	1,477,455
8.	OTHER OPERATING REVENUE	2016 Rs.	2015 Rs.
	Other operating revenue	4,773,224	3,501,200
	Total other operating revenue	4,773,224	3,501,200

9. NET BENEFITS AND CLAIMS		2016 Rs.	2015 Rs.
9 (a)	Net insurance benefits and claims paid		
	Gross benefits and claims paid		
	Hospitalization	53,608,873	53,171,773
	Death	8,011,208	852,772
	Surrender payments	25,110,331	11,960,467
		86,730,412	65,985,012
	Claims ceded to reinsurers		
	Hospitalization	(8,604,688)	-
	Death	-	-
		(8,604,688)	-
	Total net insurance benefits and claims paid	78,125,724	65,985,012
9 (b)	Net change in insurance claims outstanding		
	Gross change in contract liabilities		
	Hospitalization	1,520,635	5,396,704
		1,520,635	5,396,704
	Change in claims outstanding ceded to reinsurers		
	Hospitalization	(648,213)	(3,172,214)
	Total net change in insurance claims outstanding	872,422	2,224,490
	Total net benefits and claims	78,998,146	68,209,502
10. UNDERWRITING AND NET ACQUISITION COSTS		2016 Rs.	2015 Rs.
	Commission expenses	81,950,044	57,271,218
	Direct marketing cost	132,274,725	111,015,749
		214,224,769	168,286,967
11. OTHER OPERATING AND ADMINISTRATIVE EXPENSES		2016 Rs.	2015 Rs.
	Employee benefits expense	50,972,306	31,521,313
	Administration & establishment expenses	75,448,212	51,212,279
	Selling expenses	18,160,124	19,528,542
	Depreciation on property and equipment	6,817,379	6,028,196
	Audit and non audit fee including expenses	1,331,000	1,452,000
	Impairment of investment	-	20,000,000
	Other cost	1,002,833	651,935
	Total other operating and administrative expenses	153,731,854	130,394,265
11 (a)	Employee benefits expense		
	Wages and salaries including bonus & incentives	46,049,821	27,933,028
	Contributions to employee benefit obligation plans	1,528,757	831,672
	Employees' provident fund	2,737,406	2,221,492
	Employees' trust fund	656,322	535,120
	Total employee benefits expense	50,972,306	31,521,312

NOTES TO THE FINANCIAL STATEMENTS Contd.

12. INCOME TAX EXPENSE

The major components of income tax expense for the years ended 31 December 2016 and 2015 are:

	2016 Rs.	2015 Rs.
12 (a) Current year tax charge		
Current tax		
Income tax	-	-
Total current tax	-	-
12 (b) Reconciliation of tax charge		
Profit (Loss) before tax	107,889,171	25,729,231
Taxable investment income	92,574,606	50,651,570
Allowable expenses	(354,869,261)	(267,771,885)
Taxable income / (loss)	(262,294,655)	(217,120,315)
Statutory rate	28%	28%
Tax expense at applicable rate	-	-
Total tax charge for the year	-	-

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provisions of Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto. There is no income tax expense recognized as Life Insurance does not have an income tax expense so far.

13. Earning / (loss) per share

Basic earnings/ (loss) per share amount is calculated the net profit for the year attributable to ordinary shareholders of the Company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2016 Rs.	2015 Rs.
Profit for the year	107,889,171	25,729,231
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic earning per ordinary share Rs.	1.63	0.39
13.1. Weighted average number of ordinary shares		
Ordinary shares at the beginning of the year	66,230,407	66,230,407
Effect of issue of shares for cash consideration	-	-
	66,230,407	66,230,407

14. PROPERTY, PLANT AND EQUIPMENT

	Office Equipment Rs.	Furniture & Fittings Rs.	Computer Rs.	Total Rs.
Cost				
As at 1 January 2016	3,457,037	18,912,067	9,285,100	31,654,204
Additions	3,045,396	5,888,400	3,167,900	12,101,696
Disposals	(29,723)	(689,159)	(9,100)	(727,982)
As at 31 December 2016	6,472,710	24,111,308	12,443,900	43,027,918
Accumulated depreciation				
As at 1 January 2016	1,237,434	7,659,901	6,042,571	14,939,905
Depreciation charge for the year	988,237	4,249,286	1,579,856	6,817,379
Disposals	(24,178)	(552,177)	(3,533)	(579,888)
As at 31 December 2016	2,201,493	11,357,010	7,618,894	21,177,397
Carrying Amount				
As at 31 December 2016	4,271,217	12,754,298	4,825,006	21,850,521
As at 31 December 2015	2,219,603	11,252,166	3,242,530	16,714,299

14.1 Acquisition of PPE during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs.12 Million (2015 - Rs. 6.9 Million). Cash payments amounting to Rs. 12 Million (2015 - Rs. 6.9 Million) were made during the year to purchase of property, plant & equipment.

14.2 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2015 - Nil)

14.3 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31st December 2016. (2015 - Nil)

15. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2016 Rs.	2015 Rs.
Loans and receivables	770,904,670	891,819,140
Available-for-sale financial assets	474,498,080	90,250,564
Total	1,245,402,750	982,069,704

NOTES TO THE FINANCIAL STATEMENTS Contd.

The following table consists of the fair values of the financial investments together with their carrying values.

		2016		2015	
		Carrying value Rs.	Fair value Rs.	Carrying value Rs.	Fair value Rs.
Loans and receivables	15 (a)	770,904,670	770,904,670	891,819,140	891,819,140
Available-for-sale financial assets	15 (b)	474,498,080	474,498,080	90,250,564	90,250,564
Total financial instruments		1,245,402,750	1,245,402,750	982,069,704	982,069,704

Available-for-Sale investments have been valued at fair value and Loans and Receivable investments are valued at amortised cost.

		2016 Rs.	2015 Rs.
15 (a)	Loans and receivables		
	Investment in corporate debt	443,356,097	265,605,475
	Investment in fixed deposit	216,592,508	124,338,785
	Investment in repos	150,956,065	541,874,880
		810,904,670	931,819,140
	Provision for impairment	(40,000,000)	(40,000,000)
		770,904,670	891,819,140
15 (b)	Available for sale financial assets		
	Treasury bonds	353,127,809	90,250,564
	Treasury bills	121,370,271	-
		474,498,080	90,250,564

15 (c) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

15 (d) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair value Rs.
31 December 2016				
Available for sale financial assets	474,498,080	-	-	474,498,080
	474,498,080	-	-	474,498,080
31 December 2015				
Available for sale financial assets	90,250,564	-	-	90,250,564
	90,250,564	-	-	90,250,564

16.	LOANS TO LIFE POLICYHOLDERS	2016 Rs.	2015 Rs.
	Movement of policy loan		
	Balance as at 1st January	22,825,441	17,708,793
	Loans granted during the year	95,991,882	14,960,898
	Repayments during the year	(12,961,565)	(9,844,250)
	Balance as at 31st December	105,855,758	22,825,441
	Interest receivable	5,819,957	2,213,156
	Total loans to life policyholders	111,675,715	25,038,597

- 16.1** The surrender value of the policies for which policy loans have been granted as at 31st December 2016 amounted to Rs. 133 Million (2015 Rs. 34.8 Million).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans. This mitigates the Company's credit exposure on Policy Loans.

The Company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at Fair Value.

16.2 Impairment losses on loans to life policyholders

The Board of Directors has assessed potential impairment loss of loans to Life Policyholders as at 31st December 2016. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders.

NOTES TO THE FINANCIAL STATEMENTS Contd.

17.	REINSURANCE RECEIVABLE		2016 Rs.	2015 Rs.
	Reinsurance receivable on outstanding claims		4,234,952	3,886,379
	Reinsurance receivable on settled claims	17.1	3,471,869	1,860,944
			7,706,821	5,747,323
17.1	Reinsurance receivable from Munich Re		3,471,869	1,860,944
			3,471,869	1,860,944

17.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

17.3 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2016. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer Note No. 30.3 (b) for reinsurance rating analysis.

18.	AMOUNTS DUE FROM RELATED PARTY		2016 Rs.	2015 Rs.
	Amounts due from related companies	18 (a)	-	182,801
18 (a)	Related party	Relationship		
	Richard Pieris & Company PLC	Ultimate Parent	-	182,801
	Richard Pieris Distributors PLC	Fellow Subsidiary	-	-
	Arpitalian Compact Soles	Affiliate	-	-
			-	182,801

19.	PREMIUM RECEIVABLE		2016 Rs.	2015 Rs.
	Premium receivable from policyholders			
	Third party		31,542,700	19,540,035
	Related party		7,948,769	38,346,150
			39,491,469	57,886,185

20.	OTHER ASSETS		2016 Rs.	2015 Rs.
	Advances , deposits & prepayments		18,463,036	17,846,781
	Taxation receivable		32,785,445	24,112,036
	Inventories		3,081,059	2,455,426
			54,329,540	44,414,243

21. CASH AND CASH EQUIVALENTS	2016 Rs.	2015 Rs.
Cash in hand	211,026	149,294
Cash at bank	45,118,870	16,856,248
Short term investments	61,174,422	11,632,615
Total cash and cash equivalent balance	106,504,318	28,638,157

22. FINANCIAL INSTRUMENTS

22.1 Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial assets by categories

As at 31 st December

	Loans and receivables		Available-for-sale financial assets	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial investments	770,904,670	891,819,140	474,498,080	90,250,564
Loans to life policyholders	111,675,715	25,038,597	-	-
Premium receivables	39,491,469	57,886,185	-	-
Reinsurance receivable	7,706,821	5,747,323	-	-
Amounts due from related parties	-	182,801	-	-
Cash in hand and at bank	106,504,318	28,638,157	-	-
Total	1,036,282,993	1,009,312,203	474,498,080	90,250,564

Financial liabilities by categories

As at 31 st December

	Financial liabilities measured at amortised cost	
	2016 Rs.	2015 Rs.
Reinsurance creditors	22,729,392	18,314,863
Amounts due to related parties	6,676,507	120,421
Financial liabilities	54,461,564	45,770,388
Total	83,867,463	64,205,672

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

23. STATED CAPITAL	2016		2015	
	Nos	Rs.	Nos	Rs.
Fully paid ordinary shares				
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Issue of shares for cash consideration	-	-	-	-
	66,230,407	675,564,870	66,230,407	675,564,870

NOTES TO THE FINANCIAL STATEMENTS Contd.

24.	INSURANCE CONTRACT LIABILITIES	Notes	2016 Rs.	2015 Rs.
	Balance as at 01 January		436,177,616	287,030,582
	Change in contract liabilities life fund			
	Increase in life insurance fund before surplus transfer		350,207,532	162,187,012
	Surplus transferred from / (to) shareholders		(60,000,000)	(6,400,000)
	Increase in life insurance fund		290,207,532	155,787,012
	Movement in AFS reserve transferred to life fund		(337,292)	(6,639,978)
	Balance as at 31 December		726,047,856	436,177,616

24 (a) Reconciliation of life fund opening liability due to change in policy liability valuation method

	2016 Rs.	2015 Rs.
Balance as at 1 January 2016 - Net Premium Valuation Basis	403,150,000	-
Balance as at 1 January 2016 - Gross Premium Valuation Basis	51,881,761	-

Surplus created due to change in valuation method from NPV to GPV as at 1 January 2016

	2016 Rs.	2015 Rs.
Release in liabilities of life products	351,268,239	-

Insurance Contract Liabilities - Life

The valuation of the Life Insurance business as at 31st December 2016 was assessed by M/S Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation the reserve amounted to Rs. 640 Mn which is adequate to cover the liabilities pertaining to the Life Insurance business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional nonparticipating Life Insurance products. The actuarial reserves have been established based upon the following.

- Interest rates which vary by product and as required by regulations issued by the Insurance Board of Sri Lanka.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the Insurance Board of Sri Lanka

According to Solvency margin rules (Risk Based Capital) effective from 01st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities amounting to Rs.469 Mn as at 2016.

The Insurance Board of Sri Lanka (IBSL) has required all insurers not to transfer or distribute the "surplus created due to change in valuation method from NPV to GPV" and to maintain it within the long term insurance fund until specific instructions are issued by the IBSL.

As per the Valuation, the Life Insurance Fund included in the Financial Statements exceed the required actuarial reserves by Rs. 142 Mn as at 31st December 2016 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 60 Mn has been transferred to Shareholders fund from the Life Insurance Fund in 2016.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31st December 2016 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2016. No additional provision was required against the LAT as at 31st December 2016.

25.	EMPLOYEE BENEFIT OBLIGATIONS	2016 Rs.	2015 Rs.
	Gratuity benefit obligation		
	Balance as at 1 January	2,648,378	1,754,563
	Current service cost	1,277,160	954,418
	Interest cost on benefit obligation	251,596	166,684
	(Gain) / Loss arising from changes in assumptions	431,856	(227,287)
	Balance as at 31 December	4,608,990	2,648,378
	Expense recognised in the income statement		
	Interest cost	251,596	166,683
	Current service cost	1,277,160	954,418
	Amount recognised in the income statement	1,528,756	1,121,101

The actuarial valuation for the gratuity liability was carried out as at 31 December 2016, by Mr. Poopalanathan, of M/S Actuarial and Management Consultants (Pvt) Ltd.

25.1	Discount rate	12.00%	9.50%
	Future salary increases	8%	8%
	Retirement age	55 years	55 years

25.2 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	Rate change	Impact to Financial Position- Increment/(Reduction) of Liability	Impact to Comprehensive Income-Charged/ (Reversal)
Discount rate	1%	(179,700)	179,700
Discount rate	-1%	193,845	193,845
Salary increment rate	1%	209,044	209,044
Salary increment rate	-1%	(196,680)	(196,680)

NOTES TO THE FINANCIAL STATEMENTS Contd.

25.3 Maturity profile of defined benefit obligation		2016 Rs.	2015 Rs.
Less than one year		702,655	24,143
Between 1-2 years		1,290,760	772,640
Between 3-5 years		1,307,865	880,043
Beyond 5 years		1,307,710	971,552
		4,608,990	2,648,378
25.4 Weighted Average Duration of Defined Benifit Obligation (years)		4.54	5.66
26. REINSURANCE CREDITORS		2016 Rs.	2015 Rs.
Munich Re		20,251,098	16,424,463
Hannover Re		2,478,294	1,890,400
		22,729,392	18,314,863
27. AMOUNTS DUE TO RELATED PARTY		2016 Rs.	2015 Rs.
Amounts due to related companies	27 (a)	6,676,507	120,421
27 (a) Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	6,075,173	-
Richard Pieris Distributors Limited	Fellow Subsidiary	167,073	120,421
Arpitech (Pvt) Ltd	Fellow Subsidiary	421,582	-
Arpico Interiors	Fellow Subsidiary	12,679	-
		6,676,507	120,421
28. OTHER FINANCIAL LIABILITIES		2016 Rs.	2015 Rs.
Agency commission payable		24,422,853	17,308,782
Accrued expenses		17,089,737	20,577,752
Claims outstanding		12,948,974	7,883,853
		54,461,564	45,770,387
29. OTHER LIABILITIES		2016 Rs.	2015 Rs.
Policyholder advance payments		17,183,823	10,023,801
Other taxes payable		543,114	383,270
		17,726,937	10,407,071

30. RISK MANAGEMENT FRAME WORK

30.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The Company is exposed to the following risks.

- Insurance Risk
 - Life Insurance contracts
 - Reinsurance

- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk
 - Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring / managing such risks, and the manner in which the Company manages its capital.

30.2 Risk management framework

a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

NOTES TO THE FINANCIAL STATEMENTS Contd.

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IBSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

c) Regulatory framework

Insurance regulator in the Country, Insurance Board of Sri Lanka (IBSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IBSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

30.3 Insurance Risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life Insurance Risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death / permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability.

The main risk that the company is exposed to under Life Insurance Contracts are as follows.

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.

- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets.
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below.

Life Underwriting Risk Management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

Life Claims Risk Management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising CEO, Assistant Manager – Life Insurance and Head of Finance) is involved in taking decisions on significant/ problematic claims and appeals made in respect of claims.

(b) Reinsurance Risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

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The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	AA-	A.M. Best
Hannover Re	AA-	A.M. Best

Some of the specific actions by the Company to mitigate Reinsurance Risks are shown below.

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

30.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance Sheet date is given in below table with the comparative figures and has been derived as per the company risk management policy of using the carrying values in the statement of financial position.

As at 31 December	2016 Rs '000	% of Allocation	2015 Rs '000	% of Allocation
Financial investments				
Debt securities - Loans and receivables	770,905	51.02	891,819	81.10
Debt securities - Available for sale	474,498	31.41	90,251	8.21
Total debt securities	1,245,403	82.43	982,070	89.31
Life policyholders loans	111,676	7.39	25,039	2.28
Reinsurance receivable	7,707	0.51	5,747	0.52
Amounts due from related party	-	-	183	0.03
Premiums receivable	39,491	2.61	57,886	5.26
Cash in hand and at bank	106,504	7.06	28,638	2.60
Total credit risk exposure	1,510,781	100.00	1,099,563	100.0

As of December 31 2016 the largest credit risk exposure of 82% (2015 - 89%) is arising from investments in debt securities

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31 December	2016 Rs '000	% of Allocation	2015 Rs '000	% of Allocation
Financial Investments				
Government securities and related institutions	625,454	50	632,126	62
Corporate debt securities	403,356	33	265,605	26
Deposits	216,593	17	124,339	12
Total debt securities	1,245,403	100	1,022,070	100

(i) Government Securities

As shown in table above, as at 31 December 2016, 50% (2015- 62%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate Debt Securities

As at 31 December 2016, corporate debt securities comprise 33% (2015-26%) of the total investments which were rated "A-" or better (2015 – 87%)

Corporate debt security allocation 2016 vs 2015 - credit rating wise

As at 31 December	2016		2015	
Rating	Rs. '000	% of total	Rs. '000	% of total
AA+ AA-	305,658	76	126,837	57
A+ A-	97,698	24	68,401	30
BBB BB-	-	-	30,367	13
Not rated *	-	-	-	-
Total	403,356	100	225,605	100

Comprises Rs 403 Million (2015 - 195 Million) with an issuer rating above "A-".

(iii) Concentration risk of corporate debt securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 111 million (2015 - 25 million) and its related surrender value is Rs. 133 million (2015 – 34.8 million).

NOTES TO THE FINANCIAL STATEMENTS Contd.

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 106 million at 31 December 2016 (2015 - Rs. 28 million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated A+ or better.

30.5 Liquidity Risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Maturity Profiles

The table below summarises the maturity profile of the non- derivative financial assets of the Company based on remaining contractual obligations.

As at 31 December 2016	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	770,905	434,952	112,912	223,041	-	770,905
Available for sale	474,498	171,066	256,863	-	46,569	474,498
Life policyholders loans	111,676	4,096	11,738	61,285	34,557	111,676
Reinsurance receivable	7,707	7,707	-	-	-	7,707
Premiums receivable	39,491	39,491	-	-	-	39,491
Cash and cash equivalents	106,504	106,504	-	-	-	106,504
Total assets	1,510,781	763,816	381,513	284,326	81,126	1,510,781

As at 31 December 2016	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance creditors	22,729	22,729	-	-	-	22,729
Amounts due to related party	6,677	6,677	-	-	-	6,677
Other financial liabilities	54,462	54,462	-	-	-	54,462
Total liabilities	83,868	83,868	-	-	-	83,868

As at 31 December 2015	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	891,819	572,234	312,588	26,998	-	891,819
Available for sale	90,251	20,606	69,645	-	-	90,251
Life policyholders loans	25,039	3,378	10,814	8,959	1,888	25,039
Reinsurance receivable	5,747	5,747	-	-	-	5,747
Amounts due from related party	183	183	-	-	-	183
Premiums receivable	57,886	57,886	-	-	-	57,886
Cash and cash equivalents	28,638	28,638	-	-	-	28,638
Total assets	1,099,563	688,672	393,046	35,956	1,888	1,099,563

As at 31 December 2015	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance creditors	18,315	18,315	-	-	-	18,315
Amounts due to related party	120	120	-	-	-	120
Other financial liabilities	45,770	45,770	-	-	-	45,770
Bank overdraft	-	-	-	-	-	-
Total liabilities	64,205	64,205	-	-	-	64,205

30.6 Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk), and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.

- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

(b) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax on revaluing Available for sale financial assets)

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the PLC availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

30.7 Operational Risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

31. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures"

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the Ultimate Controlling Party of the Company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows

(i) Insurance contracts transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2016 Rs.	2015 Rs.
Insurance premium received /receivable	46,801,469	42,798,074
Claim paid	(18,573,445)	(19,153,770)

(ii) Other transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2016 Rs.	2015 Rs.
Interest received/receivables	189,979	8,928,219
Expenses incurred behalf of the company	(56,169,316)	(46,191,014)
Fund transfers	49,682,394	38,820,478

(b) Transactions with Key Management Personnel (KMP) of the Company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 “Related Party Disclosures”, Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors (Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

	2016 Rs.	2015 Rs.
Short term employee benefits	-	800,000

(c) Transaction with / between subsidiary companies of parent company

Nature of the Transaction Fellow Subsidiaries	2016 Rs.	2015 Rs.
Claim paid	(4,027,216)	(5,592,755)
Insurance premium received	11,636,840	17,236,233
Purchase of fixed assets	(3,293,707)	(2,512,937)
Rent paid	(905,416)	(22,653)
Investments	-	124,338,992
Fee, commission and brokerage paid	(290,229)	(1,235,294)
Others	(2,279,871)	(358,908)

NOTES TO THE FINANCIAL STATEMENTS Contd.

32. COMMITMENT AND CONTINGENCIES

There were no Capital Commitments and Contingent Liabilities as at the reporting date.

33. EVENTS OCCURING AFTER THE REPORTING PERIOD

All material post reporting period events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

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SUPPLEMENTARY INFORMATION

SHAREHOLDER INFORMATION

ARPICO INSURANCE PLC

Share Ledger Management System

Twenty Largest Shareholders

Name Of The Shareholder	2016 Shareholding	2016 % on Issued Shares	2015 Shareholding	2015 % on Issued Shares
01 Kegalle Plantaion	26,685,001	40.29	26,685,001	40.29
02 Richard pieris Distributers Limited	17,790,001	26.86	17,790,001	26.86
03 Richard pieris and company PLC	15,125,001	22.84	15,125,001	22.84
04 Mr. J.P.Paul	1,023,245	1.55	1,023,245	1.55
05 Mr. S.Senthinandhanan	769,757	1.16	769,757	1.16
06 Mr. S.Senthi Maaran	619,894	0.94	619,894	0.94
07 First Capital Markets Limited	535,900	0.81	535,900	0.81
08 Mr. H.V.Senaweera	385,870	0.58	385,870	0.58
09 Mr. A.P.Arumugampillai	304,000	0.46	304,000	0.46
10 Mr. B.A.R.Dissanayake	200,000	0.3	200,000	0.3
11 MR. S.Sivashanth	180,000	0.27	150,000	0.23
12 Pan Asia Banking Corporation PLC	154,999	0.23	155,000	0.23
13 Mrs. S.E.V.E.A.U.Von Stumm	150,000	0.23	150,000	0.23
14 Mr. F.N.Herft	135,000	0.2	125,000	0.19
15 DR. A.S.Wijenayaka	122,110	0.18	116,400	0.18
16 MR. M.L.A.Benedict	101,152	0.15	90,000	0.14
17 Flybrunei Sdn Bhd	99,700	0.15	100,000	0.15
18 MR. R.L.Wijenaike	90,000	0.14	90,000	0.14
19 MR. T.A.N.Gomis	82,098	0.12	28,742	0.04
20 Assetline Leasing Company Ltd / Mr. K. Laveendra Kuma	79,459	0.12	79,459	0.12
	64,633,187	97.58	64,523,270	97.44

Composition of Shareholders

Public Shareholdings	2016		2015	
	No. of Shares	% on issued Shares	No. of Shares	% on issued Shares
No of shares	6,630,400	10.10	6,630,400	10.10
No of Shareholders	543	98.73	560	98.76

Resident and Non- Resident shareholdings

Public Shareholdings	2016				2015			
	No.of Shareholders	%	No of Shares Held	%	No.of Shareholders	%	No of Shares Held	%
Resident	536	97.45	64,658,089	97.88	557	98.24	64,826,919	97.88
Non- resident	14	1.76	1,572,318	2.12	10	1.76	1,403,488	2.12
Grand Total	550	99.21	66,230,407	100.00	567	99.99	66,230,407	100

Distribution Of Shareholding

	2016				2015			
	No.of Shareholders	%	No of Shares Held	%	No.of Shareholders	%	No of Shares Held	%
Less Than Or Equal								
1-1,000	378	68.73	120,591	0.18	373	65.79	132,246	0.20
1,001-10,000	120	21.82	501,731	0.76	137	24.16	606,874	0.92
10,001-100,000	36	6.54	1,262,011	1.90	43	7.58	1,472,518	2.22
100,001-1,000,000	12	2.18	3,687,206	5.57	10	1.76	3,395,421	5.13
Over 1,000,000	4	0.73	60,658,868	91.59	4	0.71	60,623,348	91.53
Grand Total	550	100.00	66,230,407	100.00	567	100.00	66,230,407	100.00

Directors' Shareholdings

There is no share holding by the directors as at As at 31 st December 2016

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Share

Share Performance

Net Asset Value Per Share as at As at 31 st December 2016	11.4
Highest Price Per Share for the Interim Period	13.4
Lowest Price Per Share for the Interim Period	11.5
Last traded Price Per Share as at As at 31 st December 2016	12.0

GLOSSARY OF INSURANCE TERMS

Actuarial Valuation

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company holds adequate assets to fund the Company's liabilities.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

Claims Outstanding - Long Term Insurance

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

Commission

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

Deposit Premium

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

Endowment

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

Gross Written Premium – Life

Premium to which the insurer is contractually entitled and received in the accounting period.

Insurance

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

Insurance Provision - Long Term

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Surplus

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

Long Term Insurance

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Maturity

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Net Written Premium

Gross written premium less reinsurance premium payable.

Net Claims Incurred

Claims incurred less reinsurance recoveries.

Policy Loans

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

Premium

The consideration payable by the insured for an insurance contract.

Profit Commission

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

Revenue Account

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

Reinsurance

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

Reinsurance Commission

Commission received or receivable in respect of premium paid or payable to a reinsurer.

Reinsurance Premium

The premium payable to the reinsurer.

Solvency Margin - Life

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

Surrender

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

Surrender Value

The sum payable by an insurance Company upon the surrender of a Life insurance policy before it has run its full course.

Combined Ratio

Sum of the loss ratio and expense ratio.

Fair Value

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

Available for Sale (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position and changes in value are taken straight to equity instead of the income statement.

Cash Flow Statement

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

Corporate Governance

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

Earnings per Share

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Fifth (05th) Annual General Meeting of Arpico Insurance PLC will be held at the Registered Office, No. 310, High Level Road, Nawinna, Maharagama on 28th April 2017 at 10.00 a.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2016 with the Report of the Auditors thereon.
2. To approve the appointment of Mr. Saravanapavan Sirikananathan as a Director

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Richard Pieris Distributors Limited, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

“That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 71 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan.”

The Company has also received a letter dated 1st March 2017 from Mr. Saravanapavan Sirikananathan declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Richard Pieris Distributors Limited and Mr. Saravanapavan Sirikananathan decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

3. To re-elect Mr. Viville Perera who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director
4. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
5. To authorize the Directors to determine contributions to charities
6. To consider any other business of which due notice has been given

By Order of the Board



Richard Pieris Group Services (Private) Limited
Secretaries
No. 310, High Level Road, Nawinna, Maharagama
13th March 2017

Note:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama, not less than 48 hours before the time appointed for the holding of the meeting.

FORM OF PROXY

I/We* (in block letters) of
 being a member / members of the ARPICO INSURANCE PLC
 , hereby appoint of

whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing SARAVANAPAVAN SIRIKANANATHAN whom failing LASINEE SRIYANTHIE AMALA SERESINHE whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE * as my/our proxy to represent me/us and to vote on my/our behalf at the 05TH ANNUAL GENERAL MEETING of the Company to be held on 28th April 2017 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

	In Favour	Against
01 To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2016 with the Report of the Auditors thereon.	☐	☐
02 To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. S Sirikananathan at the Annual General Meeting, a Director	☐	☐
03 To re-elect Mr Viville Perera, who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
04 To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
05 To authorize the Directors to determine contributions to charities	☐	☐
06 To consider any other business of which due notice has been given	☐	☐

Dated this day of 2017

.....
 Signature of shareholder

Notes: (i) Please delete the inappropriate words

(ii) A proxy need not be a member of the Company.

(iii) Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 10.00 a.m. on 26th April 2017.
In perfecting the Form of Proxy, please ensure that all details are legible.

In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.

Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution.
If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.

This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

CORPORATE INFORMATION

The Company

Arpico Insurance PLC

Legal Form of the Company

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 7 of 2007

Company Registration No.

P B 4739 P Q

Stock Exchange Listing

The shares of the Company are Listed on the Colombo stock exchange, Diri Savi Board

Place of Incorporation

Colombo, Sri Lanka

Accounting Year-end

December 31

Tax Payer Identification Number (TIN)

1340473990000

Registered Office

Arpico Insurance PLC
310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

Corporate Office

Arpico Insurance PLC
55/20, Vauxhall Lane, Colombo 02.
Tel : 011 5 900 900
Fax: 011 2 330 713

Board of Directors of AINS

Mr. Viville Perera
Mr. Shiron Gooneratne
Mr. S. Sirikananathan
Mrs. Lasinee Serasinhe

Secretaries of the Company

Richard Pieris Group Services (Pvt) Limited 310,
High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax: 011 4 310 777

Auditors to the Company

Ernst & Young Chartered Accountants
201, De Saram Place, Colombo 10.
Tel : 011 2 463 500
Fax: 011 2 697 369

Consultant Actuary

M/S Actuarial Partners Consulting Sdn Bhd.

Bankers to the Company

National Development Bank PLC
40, Navam Mawatha, Colombo 02.
Tel : 011 2 448 448
Fax: 011 2 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21,
Sir Razik Fareed Mawatha,
Colombo 01.
Tel : 011 2 430 420
Fax: 011 2 336 706



Arpico Insurance PLC
No: 55/20, Vauxhall Lane, Colombo 02.
Tel: 00 94 11 5900 900 Fax: 00 94 11 2330713
Email: info@arpicoinsurance.com
www.arpicoinsurance.com